COMPETITIVE ANALYSIS STRATEGIES

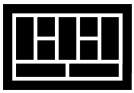


THE BUSINESS
MODEL ANALYST

SUPER GUIDE:

COMPETITIVE ANALYSIS STRATEGIES

BY DANIEL PEREIRA



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INTRODUCTION

Competitive analysis is an integral tool for modern businesses in this ever-evolving world. With advances in technology and increased competition, it is essential for companies to stay ahead of the curve when it comes to their market strategies. To do so, organizations must conduct regular competitor analysis to gain a better understanding of their rivals' operations and garner insight into how they operate in the market.

Through these analyses, companies can uncover areas of strengths and weaknesses, as well as opportunities or threats that may arise from new entries or existing competitors. Such investigations offer insight into potential collaborators that could result in mutual benefit for both parties involved. This knowledge enables them to make more informed decisions when it comes to their offerings and branding campaigns — providing them with a competitive edge over their peers.

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WHAT IS A COMPETITIVE ANALYSIS?

A competitive analysis is a key component of any successful business strategy. It involves conducting an evaluation of the major players in your industry to get a better understanding of their products, sales techniques, and promotional strategies. By doing so, you can gain insight into where there are opportunities for improvement or growth in your organization.

It also involves identifying the top competitors in your industry using market research techniques such as surveys or reviews. From there, you can begin to analyze each competitor's strengths and weaknesses and compare them with yours. This comparison process should cover everything from pricing structures to customer service initiatives and product features. You'll also want to look at what promotional activities each company engages in; this could include anything from advertising campaigns to email marketing efforts. Additionally, be sure to investigate how each company positions itself against its competition; this includes messaging used in advertisements as well as social media and website content.

Conducting a competitive market analysis provides invaluable insights that help organizations become more competitive by understanding what sets them apart from their competition – both positively and negatively. Having an informed view of the competitive landscape helps inform better strategic decisions involving product development decisions, pricing

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strategies development, and promotion investments — all things that will move the needle in terms of sustainable business growth over time.

Competitive Analysis

involves identifying your competitors using research to reveal their strengths and weaknesses in relation to your own.



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COMPETITIVE ANALYSIS EXAMPLE

Below are some examples of how competitive analysis can be used:

SONY VS. NINTENDO: NOT ALL FUN AND GAMES

It's no secret that Sony and Nintendo are two of the biggest names in the gaming console market. Both have been around for decades, but their rivalry dates back to the days of Nintendo's NES and Sega Master System. Over the years, each company has released numerous consoles in an attempt to appeal to a larger audience. However, it appears that Sony's recent release of the PlayStation 5 has caused some turmoil among competitors.

In comparison to Sony's success with the PS5, Nintendo's Switch console, which is now in its fifth year, doesn't appear to be as successful in terms of overall sales. That being said, what makes this even more interesting is that while Sony may be winning out in some areas due to timely releases, Nintendo continues to maintain healthy sales figures among teens and children despite not having any major releases since 2017. This suggests that while they may not be keeping up with their competition when it comes to new products, they remain reliable sources for older games and general entertainment with their flagship console.

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While much emphasis tends to be put on more modern releases from both companies, there remains a need for a balance between maintaining established products and continuous innovation. While new product launches can often breathe life into a company's revenue stream — as Sony has experienced with PS5 — it is also important for companies like Nintendo that focus on new digital content releases and are trying to stay competitive against larger rivals like Microsoft or Apple, which tend to offer all-encompassing packages such as programs tailored toward media consumption or gaming subscription services.

Many companies commonly encounter this situation; some launch fresh products intended to rival dominant players in the market, while others seek to ensure that their usual sales will not sink.

Here's a quick over for conducting competitive analysis.

Determine who your competitors are

To determine who your competitors are, consider both direct and indirect competition. Direct competition would include those companies offering similar products or services that directly target the same customer base. For our example, in the market for home video game consoles, Microsoft's Xbox is a direct rival of both Sony and Nintendo since it competes within the same industry segment.

Indirect competition would be any company offering different products or services but targeting the same customers; these could include companies such as mobile gaming providers or streaming media service providers that compete for customer attention and usage in the overall marketplace. It's important to consider all potential competitors when conducting competitive analysis so that you can gain a more thorough understanding of the overall market landscape.

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Determine what products your competitors offer
To gain an edge over their competition, Sony and Nintendo have different product offerings in the gaming console market. PlayStation offers two versions of their PS5 console at varying prices, while Nintendo Switch has four console options. In addition to the consoles themselves, both companies provide various peripherals for enhanced gaming experiences — Sony offers VR add-ons, and Nintendo sells a variety of different gaming controllers, steering wheels, etc.

Both companies also offer different streaming services, exclusive titles, and online gaming options through their service subscriptions.

Evaluating these factors in comparison to one another can help you determine how you can position yourself in the marketplace and what perks to pursue over competitors.

Research your competitors' sales tactics and results
When comparing the sales approaches of Sony and Nintendo, the numbers speak for themselves: by September 2021, Nintendo had sold 14.3 million consoles, while Sony had sold only 7.8 million. This is partly due to the 2020 semiconductor shortage, which caused an "unintentional" scarcity of the PS5 console. Conversely, Nintendo has embraced a much broader strategy by focusing its efforts on families as its primary demographic and introducing the Switch Lite product line — being cheaper and smaller than its predecessor, it has become an especially popular choice among children.

Take a look at your competitors' pricing
Sony's PlayStation 5 (PS5) is more expensive than Nintendo's highest-priced console. The PS5 retails for $499 compared with Nintendo's $349 offering. Both systems provide users with access to a wide selection of digital games and services that can be quickly downloaded. However, their selling points

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differ; the Switch is both versatile and portable in its design, allowing gamers to play at home or on the go. On the other hand, Sony offers superior graphics and advanced processing capabilities for those who demand top-notch visuals from their games.

Analyze how your competitors market their products
There is a distinct contrast between the marketing strategies of Nintendo and Sony when it comes to their video game console advertisements. Sony opts for an approach that illustrates their products' realism by showcasing in-game footage and emphasizes the exclusivity of their titles through deals with prominent developers for exclusive access to new games, as well as existing Intellectual Properties.

On the other hand, Nintendo chooses to take a more carefree, family-centered route in their campaigns; typically depicting cheerful families connecting through gaming on portable Switches or children using portable Switches while away from home. This strategy spotlights how convenient and fun Nintendo's products are, emphasizing how they bring people closer together through interactive play.

Analyze the level of engagement on your competitor's content
Engagement is essential for increasing sales and building customer loyalty. A business can measure how engaged its customers are through a variety of methods, but perhaps one of the easiest is to use social media. Generally, more followers imply high engagement levels, which can influence sales. If we look at an illustration of this dynamic in action, Sony has a marked advantage over Nintendo: the official PlayStation Twitter account enjoys 29.5 million followers compared to Nintendo's 12 million.

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GOOGLE

Competitive analysis is a crucial tool for businesses operating in the ever-evolving technology sector. It allows startups to keep track of rival companies attempting to enter their space and disrupt the market. At the same time, more established firms such as Google capitalize on it to stay ahead of their competitors.

Katie Miller, Program Manager at Google Cloud Developer Relations Team, explains that utilizing competitive analysis provides her team with invaluable data on reach, engagement, and sentiment beyond their channels. Not only can they measure how their posts perform, but they can also analyze the broader conversation happening among consumers. Additionally, automation allows them to quickly and easily transfer data into internal dashboards, which saves an incredible amount of time.

This powerful strategy became even more important during the pandemic, when organizations had to compete for customers despite a challenging new landscape.

To make the most out of the competitive analysis, businesses should monitor competitor performance changes quickly, track pricing in real-time across different markets, build out detailed buyer personas, and leverage AI tools such as natural language processing (NLP) to gain deeper insights into customer conversations and industry trends.

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FACTORS YOUR COMPETITOR ANALYSIS SHOULD INCLUDE

FEATURE MATRIX

Feature matrix analysis is essential for any competitor analysis. It involves examining each product or service offered by competitors to determine what features they provide and how they compare to one another. A feature matrix is a great way of visualizing the differences between products in a side-by-side comparison, allowing businesses to make more informed decisions about the best fit for their customer base.

When creating a feature matrix, several factors, such as feature type, description, and benefits or effects, should be included. The types can vary depending on the product or service being compared. Still, they may include usability or convenience factor, pricing, customization options, security, and privacy policies, support services, user experience (UX) design, platforms/devices supported, speed/bandwidth reliability, data storage availability, etc.

The description should concisely define each feature, giving concrete details on what it does while covering any required technical jargon that customers might not understand outside your market. The benefits section will explain why those particular features are advantageous to potential customers

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to help them make an informed decision when choosing between competing offerings.

In addition to listing out all available features of competitors' products/services, business owners should also include other criteria in their feature matrix analyzes, such as reviews from current users of each product/service offering and customer support options like online chat rooms or phone numbers listed on company websites where someone can address inquiries quickly. Including this information gives a comprehensive view of the competitive landscape so that business leaders can make tailored choices regarding their offerings without resorting to guessing games or broad generalizations about different services' capabilities based on limited resources.

In essence, feature matrix analysis allows companies to accurately determine which features are most important for their target market so that they can invest appropriately in those areas while avoiding costly overspending on unnecessary bells and whistles that won't add much value for consumers long term — making it an invaluable tool for staying ahead of rival competitors in today's highly competitive markets!

MARKET SHARE PERCENTAGE

Market share percentage is an essential factor to include in your competitor analysis because it can provide valuable insights into the competitive landscape of your industry. By looking at each company's market share percentage, you will be able to see which competitors are dominating the market and which ones are struggling. This can help you identify potential threats from leading competitors, as well as opportunities for growth from smaller players in the market.

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You should also use this data to gauge competition within your sector by comparing the percentages each competitor holds. For example, if one company dominates 80 percent of the total market share, then there may not be much room for other companies left to compete against them. Knowing this information can help you better evaluate how well-positioned you are against fierce competition.

Also, rather than completely ignoring your larger competitors, take the time to learn from them. The 80/20 rule is an effective way to do this; focus 80% of your attention on companies with comparable market shares and 20% of your attention on top competitors. This will help you better understand how they are succeeding in your industry, while also allowing you to remain competitive.

PRICING

It is essential to be aware of the prices that your competitors are offering for their products and services, as well as how those products and services compare in terms of quantity and quality. To effectively assess competitive pricing, companies should look at not only each individual item's price, but also the aggregate price point for an entire purchase.

First, identify your competitors' prices for their respective products or services. Consider not only the list price of each item, but also any special offers that may impact the purchase cost, such as discounts or bundles. Compare these prices to those of other markets, both within and outside your industry, to get an overall sense of how competitively priced your competitors' offerings are. You should pay close attention to changes in pricing over time; if certain competitors have experienced drastic price increases recently or consistently hold higher rates than most others, this could be an indication that the quality of the offering is superior.

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In addition to typical price discrepancies among different market segments, look out for pricing differences based on customer type. Are there particular loyalty programs, subscription options, or membership deals associated with discounted rates? How do these compare to standard packaged solutions? Knowing who has access to what can help you better target potential buyers by offering them more attractive packages tailored specifically to their needs.

Finally, study how your competitors choose to display their prices and gauge how much thought they put into making it accessible and understandable for customers. Suppose some companies feature multiple tiers with detailed educational information, while others just present a single figure without explanation. In that case, it might signal that they prioritize customer experience differently from one another — something you should take into consideration before formulating a plan for competing in the space yourself.

Effective competitor analysis requires scrutinizing pricing trends and systems across various markets to discern where each one stands in terms of quality versus quantity, as well as customer value perception. Taking all factors into account will give you a stronger insight into which strategies would best suit your business model and ensure that you have all the necessary information before taking action in this critical aspect of company operations.

MARKETING

Many organizations focus heavily on price, product, and service comparisons, but it's important to consider the bigger picture of each competitor’s marketing plan.

When researching competitors' marketing plans, factors such as their online presence should be taken into account. You

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need to visit competitors' websites and explore the look and feel of the sites, the navigation design, and the content provided. You can further your research by looking at what sort of language they use in their website copy, whether they are optimizing for SEO or making use of social media platforms like Facebook, Twitter, or Instagram.

Another factor to consider is how effective competitors' promotional campaigns have been so far. For example, suppose they have sponsored events or released press releases recently. In that case, these efforts may be worth noting to gauge how successful these activities were compared to your marketing mix. Additionally, you should analyze any taglines used by your competition as well as any current advertising messages that are being shared widely through different channels; this will help you get an understanding of the brand positioning of each competitor in relation to yours.

DIFFERENTIATORS

Differentiators help to identify what makes your competitors unique and how their offerings differ from yours. Differentiators can range from tangible competitive advantages like cost and product quality to intangible competitive advantages like customer service or brand recognition.

An effective way to evaluate a competitor's differentiators is by analyzing what they advertise as their best qualities. This type of information can usually be found on a company's website, printed materials, and advertising campaigns. Take time to compare these attributes with your own company's differentiators. Are you offering something better than them? Something worse? Also, consider any other potential differentiators that may not have been highlighted in their

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materials, such as industry experience or rich feature sets in their products or services.

It is also useful to understand why customers choose to purchase from a competitor instead of you. Understanding the reasons why customers choose one store over another can provide valuable insights into where your competitors are succeeding and what areas you need improvement in. Ask yourself questions: Is it price, location convenience, product selection, or customer service? Knowing how customers view each competitor side-by-side will help you objectively assess where opportunities for improvement lie within your organization.

Look at the overall context in which each competitor exists — their mission statement and values, target market demographics, etc. — and how that compares to yours. Understanding these key details about each competing business will allow you to recognize exactly how they approach the market differently than you do so that you can better determine why customers may be gravitating toward them rather than yourself.

STRENGTHS

It is beneficial to analyze how your competitors are performing in the market so that you can use their successes as a model for your strategies. By taking the time to study what they have done right, you can learn how best to differentiate yourself and gain an advantage in the same market. There are several factors to consider when analyzing your competitors' strengths:

Product Quality: Do online reviews, consumer feedback, or sales figures suggest that your competitors have a superior product? Are they offering more features, higher quality

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materials, or better performance than you? If so, is there something you can do to match or surpass this level of quality?

Brand awareness and recognition: Do customers already associate certain brands with a particular product category? Ask customers about their perceptions of each brand - what brands come to mind when they think about buying in your sector? You could also look into industry awards — did any of your competitors win recognition from trade organizations or consumer groups recently?

Testing Competitor Products: It's useful where possible to test out competing products yourself. This could give insight into areas where another brand may be performing better — whether it's a more user-friendly design interface, faster delivery times, or additional services such as warranties and return policies included at no extra cost. Seeing the product first-hand can provide qualitative data on why customers might be flocking toward one particular brand over another.

WEAKNESSES

What could each competitor be doing differently that would give you an edge over them?

A comprehensive analysis should start by evaluating each competitor's online presence: Is their website outdated? Do they lack an online store? Are they lagging in terms of social media marketing? By asking yourself these questions, you can begin to assess where they may be falling behind and how to fill those gaps with your own strategy.

For example, suppose one of your competitors has a weak social media strategy or is failing to effectively use popular platforms. In that case, this could be an opportunity for you to

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increase engagement with your target audience and showcase your product or service in ways that your competitor isn't able to do. Additionally, suppose another competitor does not have an established online store that allows customers to purchase items directly from the website. In that case, this could be another opening that you can take advantage of. Implementing easy payment options on your website will make it easier for customers to buy products from you instead of taking extra steps elsewhere.

GEOGRAPHY

Geography is another important factor to consider when analyzing your competitors. The location of their business operations can provide insight into how they interact with customers, as well as market trends in different regions. Geographic analysis can also be beneficial for understanding the customer base and target markets, since that often varies by region. Comparing not only the countries or cities where competitors are located, but also the states or provinces helps you get a more complete picture.

Companies with brick-and-mortar locations may have a large presence in certain regions, but limited reach elsewhere. This type of business needs to take local laws and regulations into account, including things like licensing or zoning restrictions and tax implications. You should also consider customer preferences in different parts of the country or world; certain product types may be extremely popular in one area while never quite catching on elsewhere.

On the other hand, businesses that primarily operate online will typically have access to a much larger market share than those relying on physical stores alone. An analysis from this perspective should consider retail analytics such as conversion rates and average order values across different

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regional markets. Consider which areas customers come from more frequently (which may be indicative of high demand) and compare traffic generation tactics employed by competing sites — e-commerce websites often use promotional offers unique to each region to drive sales and generate repeat customers from all over the world.

Cultural factors are another key component when looking at geographic factors, your competitor analysis should consider; understanding regional customs can help you better relate to consumers who live there and boost trust among potential buyers worldwide. Analyze cultural nuances between countries related to topics such as social media engagement styles or website design conventions so that you can understand how your competitors are leveraging these differences for their benefit — both online and offline! Knowing the underlying quirks behind consumer behavior within different regions can give you an advantage over your competition's marketing efforts if you're able to make appropriate use of them yourself.

CULTURE

When evaluating your competitors, it is important to look at their company culture to gain an understanding of how they view the world and operate their business. Company culture can be broken down into four main areas: objectives, employee satisfaction, environment, and history.

Objectives: The first thing that should be reviewed when analyzing a competitor's culture is its objectives. Understanding what a competitor's goals are will help you identify potential opportunities or threats and better understand what strategies may be employed against you. Additionally, examining any long-term strategies or initiatives the company has planned will give you a better idea of where

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they intend to go in the industry.

Employee Satisfaction: Employee reviews provide a great insight into the overall atmosphere within a certain organization and can indicate whether employees feel empowered or frustrated in their roles. It is often helpful to read through these reviews, as they provide valuable feedback regarding morale levels, as well as an understanding of any existing issues that could impede progress within the firm.

Read reviews provided by current and ex-employees across multiple platforms (e.g., Glassdoor) to not just gain information on employee satisfaction but also get feedback on working styles, managerial transparency, and so forth that reveal how companies operate internally. Taking note of any attractive benefits offered by competitors could also give you an advantage should you wish to make changes to your business model to remain competitive.

Environment: Examining close competitors' work environments is important when assessing their overall cultural identity. Are there perks, such as flexible working hours? Do employees have access to outdoor recreation activities during breaks? All these small details add up to create an overarching vibe that can influence customer loyalty and perceptions depending on how it is portrayed externally — this makes it key for businesses wishing to succeed in today's marketplace, where competition remains fierce across all industries worldwide.

History: Finally, looking back at a competitor’s history can give you invaluable insights into how successful companies have adapted over time according to changes in trends and consumer demand shifts. Does the business focus heavily on innovation, or do they stick with traditional marketing techniques? Studying past successes can enable your

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organization to adapt accordingly so as not to lose out on current opportunities available within today's commercial landscape throughout different sectors globally — examine both longer-term traditions alongside more recently adopted practices for further analysis specifics!

CUSTOMER REVIEWS

Customer reviews provide insights into what customers think of the product or service your competitors offer and are often an invaluable source of information. They can help you uncover any issues with the competitor's offering that may have gone unnoticed otherwise, and provide valuable insights into how well your competitor is doing in terms of meeting customer expectations.

When analyzing customer reviews, it is important to look at both positive and negative ones from all levels on a 5-star system. 5-Star reviews are great to see, as they show that customers are delighted with the products or services offered by your competitors. However, 3-star reviews tend to be more honest as these represent customers who have experienced both good and bad aspects but felt overall neutral about their experience. 1-Star ratings should also not be ignored, as they highlight issues that need to be addressed by your competitors if they want to maintain loyal customers and increase their overall satisfaction rating.

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BENEFITS OF CARRYING OUT A COMPETITIVE ANALYSIS

Oftentimes, small business owners can become overburdened by the many responsibilities they have to tackle. Despite having limited time, it is still valuable for them to invest some of it in analyzing their competition. There are various reasons why this should be done, such as:

WHAT YOU CAN LEARN FROM COMPETITIVE ANALYSIS



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IDENTIFY YOUR BUSINESS'S STRENGTHS AND WEAKNESSES

By looking at your competitors' products, services, prices, marketing strategies, customer service policies, and more, you can get a clearer picture of what sets your company apart from them. You will also be able to see which areas need improvement within your own business model. With this information in hand, you can better position yourself in the market by targeting certain aspects — those that make you stand out from the competition — for promotion or further development.

Carrying out a competitive analysis also provides valuable insight into customer opinions about both your competitors and your own business. This lets you know what customers think is most important when evaluating potential purchases or services. Knowing how they compare features among companies helps you focus on those elements that are likely to drive direct sales growth, while minimizing investments in areas with little return on investment (ROI).

Taking a closer look at who your competition is can also provide invaluable insight into their tactics. Observing their decisions and strategies reveals their approach to pricing models, distribution channels, promotional activities, key partnerships, and much more. Get inside their strategy playbook so that you can anticipate their next move before it's already taken place. That way, you have time to build up resources or protect yourself against threats posed by competitors ahead of any actual execution.

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UNDERSTAND YOUR MARKET

Carrying out a competitive analysis can help you:

Identify Your Competitors: A key benefit of conducting a competitive analysis is that it helps you identify who your competitors are, analyze their strengths and weaknesses, and better understand how they operate in the market. Knowing who your competition is will allow you to build strategies to differentiate yourself from them, as well as provide ideas for product lines and marketing campaigns.

Analyze Their Strategies: Conducting competitor research allows your organization to understand the strategies being used by other companies in the market, giving you a better understanding of what works and what does not work in terms of customer engagement and brand awareness. Knowing these details will enable your company to position itself more effectively compared to its competitors.

Monitor Positioning Changes: Continually monitoring competitor positioning changes allows companies to stay ahead of their competition by capitalizing on any shifts or changes that may have gone unnoticed before now; this could include new product offerings or pricing structures designed specifically for gaining traction within the target audience or market segmentation opportunities that have been created by those same competitors previously unaware of them.

Uncover New Opportunities: A thorough assessment may provide insights into areas where customers feel underserved by current offerings available; this could be an indicator that there's potential to expand services or create new products/services based on unmet customer needs, which can offer real potential for growth within the

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marketplace at large. This kind of insight gives an organization information it might not have had access to otherwise, allowing strategic partners like marketing and sales teams to collaborate around “white space” to create unique propositions that could give an organization a clear point of difference versus its rivals going after traditional markets or segments.

Enhance Customer Retention: While researching competitors provides insight into what others are doing in terms of targeting specific customers with certain offers, it also gives organizations scope for developing tailored customer retention initiatives based on feedback received during competitor research activities such as interviews with relevant personas. Such insights can provide invaluable data about customer pain points, preferences, and expectations around service levels, all of which feed into ensuring existing customers remain loyal over time, thus maximizing profitability.

SPOT INDUSTRY TRENDS

Competitive analysis enables you to identify trends and understand where your competitors are heading, what strategies they are using, and how the market is changing over time. By performing this type of analysis regularly, you'll be able to spot industry trends that could alter how you approach new customer acquisition or the products or services you offer.

For instance, if you identify a trend towards increased competition in your industry, it might be wise to plan ahead and create new products that fill customer needs not met by competitors. You can also use competitive analysis to uncover current pricing patterns so that you can make informed decisions about setting competitive prices for your

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own services or products. And if there's evidence of declining sales in certain sectors, it may be wise to invest more in marketing activities targeting customers outside those markets.

Additionally, carrying out a competitive analysis can help you gain insight into market dynamics, such as emerging technologies and customer demands. This knowledge will give you an edge when it comes to designing better-targeted campaigns or optimizing product features based on customer feedback. With all of this in mind, conducting regular competitor analysis allows businesses to stay one step ahead of changes that can drastically impact their bottom line — and spot industry trends before they become widespread enough to affect the entire sector.

SET BENCHMARKS FOR FUTURE GROWTH

Setting benchmarks for future growth is one of the key benefits of carrying out a competitive analysis. By studying both established companies in your industry and new entrants into the market, you can gain valuable insights into what success looks like in your industry.

Established companies provide a model of what works: from which markets they target to how they position themselves in their sector, while new entrants offer an indication of up-and-coming trends that you may need to watch out for. As such, by studying your competition's operations, performance metrics (e.g., sales figures), and marketing strategies, among other things, you can set achievable targets or benchmarks against which to measure whether your own business has improved over time or if it needs further work going forward.

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Knowing where other businesses at various stages are succeeding or underperforming gives you a better perspective on where you should focus some energy — be it on market penetration strategy or investing more resources in product development, expanding digitally, or entering new physical markets — as well as indicating potential opportunities within your field that have not yet been fully exploited. Taking note of successes (as well as failures) amongst similar corporations can save time and money when drawing up plans for future growth, since there's no need to reinvent the wheel every time something needs improving or testing out; there are models out there that can be used as references when deciding on company direction.

Carrying out regular competitor reviews allows businesses to keep abreast of rivals' activities across different areas, including marketing campaigns, pricing movements, customer service improvements implemented, product updates launched, etc., setting standards for improvement that help direct internal efforts towards process optimization — ultimately leading to increased efficiencies and cost savings.

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COMPETITIVE ANALYSIS STRATEGIES

Before settling on the appropriate strategy to use in your competitive analysis, you must clearly understand what you would like to learn and any pre-existing theories. This will guarantee that the methods chosen are suitable for determining what information you need. Moreover, different approaches each bring their own benefits.

These are some of the best strategies, to begin with:

SWOT ANALYSIS

SWOT (Strengths, Weaknesses, Opportunities, and Threats) analysis is a strategic planning tool used by companies to evaluate their competitive position in the market. Using this framework, a company can assess different elements of its internal and external environment and better understand the potential risks associated with any changes or challenges it may face.

The SWOT analysis process starts by identifying a company's strengths — things that give it an advantage over its competitors, such as quality products, strong brand recognition, or loyal customers. Next, weaknesses are identified - areas where businesses can be vulnerable, such as due to poor customer service or a lack of resources. Thirdly, opportunities are assessed that could help businesses grow in the future through new markets or

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partnerships. And lastly, threats are considered, which could impact a business negatively, such as increasing competition or technological advancements that could disrupt the industry.

By clarifying these elements with accurate facts and data-driven information, companies can more accurately identify their competitive position compared to rival firms and form effective strategies for success going forward. While SWOT analysis provides valuable insight into an organization's performance and rivals' strategies, it should not be seen as a prescription, but instead used as a guide to shape decisions about future ground plans or tactics.

Components of SWOT Analysis

A SWOT analysis cannot be considered thorough without these four essential components; however, the actual findings within them will vary depending on the company. All these components must be included for the exercise to be considered complete.



Strengths

Strengths are an integral part of a SWOT analysis and relate

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to the internal aspects of a business. Strengths refer to factors that a business does well in comparison to its competition — characteristics that give it an advantage, such as superior skills, resources, or capabilities. These could include such things as financial security from having access to large amounts of capital or having loyal customers with high levels of repeat business.

Strengths also help companies identify potential opportunities for further growth, as they allow organizations to recognize their areas of expertise and focus on exploiting those strengths for a competitive advantage. Examples might be strong brand recognition, a broad customer base, or a unique technology that can provide the basis for developing new products and services that customers want or need.

Weaknesses

Weaknesses in SWOT analysis refer to internal factors that impede the company's ability to achieve success. These are areas of the business that need improvement for the firm to be competitive and successful, such as weaknesses in brand identity, high employee turnover rates, too much debt, an insufficient supply chain, or low levels of capital investment.

Weaknesses can often be seen more easily from an outsider's perspective than from those within the organization itself. Identifying weaknesses will give the organization an opportunity to address these issues and improve them so that they no longer hinder their operations or ultimate success. Taking action on these identified weaknesses is important because it may offer a competitive advantage over organizations that have not addressed them yet.

Opportunities

Opportunities refer to external factors that present an organization with the opportunity of achieving a competitive advantage. Examples of opportunities that an organization

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can utilize include changes in governmental regulations, emerging markets, customer needs, and technological advancements.

A SWOT analysis is used to assess such opportunities and how they can contribute to the profitability, performance, sustainability, and competitiveness of an organization. By identifying these opportunities, organizations can identify their strengths and weaknesses while creating strategies to capitalize on them and increase their performance.

Threats

Threats refer to external factors that could possibly affect the goals of an organization negatively. They can be either short-term or long-term, and they must be identified before strategies can be implemented to mitigate them.

Common threats include natural disasters, economic events such as rising costs for materials and increased competition, changes in customer preferences, new government regulations, technological disruption, and so on. Organizations must identify these potential threats as early as possible to take appropriate action and minimize their impact. Companies should also assess the likelihood of a threat occurring, along with its potential effect on the business if it does take place.

A thorough SWOT analysis allows companies to proactively monitor changes in the market landscape, identify emerging trends, and develop plans accordingly to protect their operations from harm caused by external threats.

When should you perform a SWOT analysis?

When it comes to the timing of your SWOT analysis, there are a few different scenarios when you should consider performing one. The first is when you want to make an informed decision about a business action, whether that be

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adding a new product or revamping your internal policies. A SWOT analysis will give you insight into how this move would impact each area of your business — its strengths and weaknesses, as well as the opportunities and threats in the market.

Another time when it's wise to perform a SWOT analysis is at designated intervals throughout the year. While businesses can change quickly over time, having scheduled intervals where you assess your organization's current state ensures that major changes don't slip through the cracks. Consider evaluating every quarter or even every month if necessary — this way, you're always up-to-date with what's going on in your company and can adjust accordingly.

Additionally, anytime there is significant change within the company or industry, either from external sources or those within the organization itself, it's important to review operations via a SWOT review so that any possible repercussions of such changes can be identified early on mitigated before more serious damage occurs. When restructuring teams, for instance, use SWOT charts to accurately evaluate potential outcomes for both success and failure so that risks are known ahead of time, and team members understand their expectations fully before committing themselves completely to these changes.

Finally, anytime new ideas are brought forward — particularly ideas outside of core offerings — they must be evaluated through a detailed process involving several different viewpoints in order to ensure they have long-term benefits for both customers and revenue streams alike. Performing a thorough SWOT analysis with key stakeholders involved should help gain buy-in and create consensus on whether this new idea should be pursued and implemented or nixed entirely due to its lack of fit with existing strategy or profitability goals.

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How to Do a SWOT Analysis

A SWOT analysis requires examining strengths, weaknesses, opportunities, and threats, and then creating actionable steps derived from the findings. The overall process can be summarized as follows:

Determine Your Objective

Determining an objective is the first step to a successful SWOT analysis. With a target goal in mind, it will be easier to focus your efforts and give more meaning to the exercise results. Without an objective, you may find yourself creating multiple documents while failing to identify any actionable items that can help your business succeed.

When beginning a SWOT analysis, it is important for managers and stakeholders alike to consider what their ultimate goals are. Start by considering what you want your analysis results to accomplish or answer — such as whether launching a new product is viable and feasible or not, or how you can capitalize on certain strengths relative to competitors. It can also be helpful to consider external factors like industry trends and economic changes that might impact your decisions before establishing an objective for the SWOT analysis.

Once all of these considerations have been taken into account, create a specific statement that defines what this analysis will do for your organization: answer questions about potential new projects or strategies; form ideas about current tactics; inform decision-making processes; provide clarity surrounding resources; etcetera. This will ensure everyone involved is looking at the same objective/goal when examining and interpreting data gained through research conducted during the SWOT process.

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Gather Resources

Resources can refer to both data and personnel, which should be identified prior to the beginning of the analysis. A comprehensive list should be compiled that includes all sources and types of resources necessary for a successful process.

Data Sources: The primary output from a SWOT analysis relies heavily on reliable internal and external data sources, such as financial statements, industry reports, customer surveys, competitor research, etc. Developing an understanding of exactly what information will be needed is important to identify any gaps and prioritize the collection of appropriate data sets.

Personnel: Depending on the size and complexity of the firm internally, it may also be beneficial to include multiple perspectives during a SWOT analysis through designated personnel in various roles who have expertise within their respective fields. This usually includes sales staff, manufacturing staff, engineers/technicians, or consultants with better insights into internal operations. Involving these individuals ensures more diverse contributions are made towards identifying potential opportunities or threats within each area being analyzed.

Prioritization: Once data sources have been established, and sufficient personnel has been identified for involvement in the process according to their respective roles within the company or organization, priority must then be placed on gathering information for use in forming a complete picture of key areas related to strengths, weaknesses, opportunities, or threats (SWOT). Careful consideration needs to be taken into account when prioritizing this step — timing is especially important if there are deadlines set by stakeholders or governing bodies involved with decision-making based on findings obtained from the SWOT analysis itself.

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Compile Ideas
Here, the group assigned to carry out the SWOT analysis should make a list of items for each of its four components. Examples of questions asked could include, "What are we doing well?" (Strengths) or what trends are evident in the market? (Opportunity).

Doing this as a "whiteboard" or "sticky note" session can be an effective prompt for ideas and encourage creativity and inspiration from all participants. There is no right or wrong answer for this section, as all items listed can be evaluated later on to determine their usefulness. The goal should involve coming up with as many possible items as possible to have an extensive list across all categories.

Refine Findings
This step involves taking the ideas and information gathered from the previous steps and focusing on only the most relevant or pressing ones to focus on. This requires discussion and debate among analysis participants and may bring in upper management to help rank priorities for focus. The goal of this stage is to identify which issues or opportunities need to be addressed first that will have the greatest effect on helping reach the desired outcome. During this process, it’s important to remain focused on long-term goals rather than short-term wins so that strategies can be aligned accordingly.

The group can start by sorting each idea into one of three categories: leverageable strengths/opportunities, critical weaknesses/threats, or negligible points (those with minimal impact). This process should also identify any key differences between how internal stakeholders feel about an issue and how external stakeholders, such as customers/clients or other industry experts, feel about it. Once these different perspectives are identified, it helps with understanding

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whether certain elements of the plan may require additional research before further action can be taken.

After each item has been sorted into categories, those involving leverageable strengths/opportunities should then receive more detailed attention. At the same time, critical weaknesses/threats should be dealt with immediately if possible — otherwise, they should receive priority attention when creating strategies associated with this SWOT analysis. Finally, any negligible points should be documented as actions that may happen eventually but would not need immediate attention.

Develop the Strategy

Developing the strategy involves synthesizing the information collected in the SWOT analysis and developing a plan of action based on it. Team members take all the strengths, weaknesses, opportunities, and threats they identified during their assessment and brainstorm ways to address each one to form a strategic plan. They review each item in light of the company's original objective — deciding whether to release a new product or not — and use that goal as the guiding light for their strategy.

For example, if one determined strength were that the company is already popular within its existing markets, team members would discuss strategies for capitalizing on that popularity by expanding into new markets (e.g., launching campaigns specific to those areas). If weaknesses include increased material costs and straining distribution lines, then strategies may include finding more cost-effective suppliers who can provide better delivery times and stability.

If there is an opportunity to expand outside current markets identified during the SWOT analysis process, team members will develop plans for how to best serve those potential customers — perhaps through special discounts or

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promotions aimed at enticing them into trying out your product. Suppose potential threats such as unpredictable product demand were detected during the assessment process. In that case, members might devise strategies designed to increase customer engagement with existing products as well as any new ones released into marketplaces.

Ultimately, team members create both long-term goals designed to help meet organizational objectives, as well as short-term action plans that can be implemented right away to ensure progress towards those objectives is being made over time.

Benefits of SWOT Analysis

Although a SWOT analysis cannot answer every problem that a company deals with, it can offer a range of advantages that may make strategizing easier.

A SWOT analysis makes complex problems more manageable

The primary benefit of a SWOT analysis is that it offers a more manageable approach by breaking large problems down into smaller ones. For example, if one were considering entering into a new business venture, one would need to consider multiple factors such as market size, competition level, and potential profits. With the SWOT analysis, each component can be looked at separately so that potential repercussions from any number of angles can be evaluated efficiently and effectively.

By simplifying the data into strengths, weaknesses, opportunities, and threats — areas of hope or concern — one can see how various components might affect the decision while also understanding what other considerations need to go into affecting change or creating growth. Each area on its own will provide insight, as well as draw attention to whatever needs further investigation or clarification to make an

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informed position. Together, they help paint a picture of what must be done in order to solve any issues or capitalize on any given opportunities without becoming overrun with information.

A SWOT analysis requires external consider

A SWOT analysis forces a company to think beyond its immediate environment and consider larger trends or events that may affect its decisions or operations. For example, if an organization were deciding whether to invest in new technology or not, examining opportunities from advances in technology would be beneficial while also investigating potential threats, such as changes in regulations related to data privacy.

By implementing a thorough SWOT analysis when making strategic business decisions, companies can become better prepared for obstacles they may face due to external influences. This can help them create proactive plans for dealing with potential issues so that they don't feel caught off guard if something unexpected occurs outside their realm of influence. Additionally, analyzing external variables like political policies or industry trends can help organizations identify potential market opportunities they might have otherwise overlooked due to a lack of awareness or resources.

A SWOT analysis can be applied to almost every business question

The great thing about a SWOT analysis is that it can be applied to almost every business question or concern. In other words, it can analyze anything from an individual's career aspirations to a full product line, changes in brand strategy, or geographical expansion plans — basically, anything relating to your organization’s competitiveness in the marketplace — from a small microcosmic level up to large macrocosmic levels. The goal of analyzing these items

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through a SWOT Analysis is for you to gain insights into their risks and rewards so that you can make more informed decisions about how best to move forward in order for your organization as well as individual team members/employees to achieve maximum success.

Since this type of analysis looks at both internal (e.g., resources) & external (e.g., competition) aspects that impact strategizing & decision-making processes, this makes this technique even more useful because not only do organizations have a better understanding of their situation, but they are also able to capitalize on the beneficial aspects while working towards reducing any negative ones through subsequent action plans which should eventually bring desired outcomes in terms of achieving overall organizational objectives & goals set out by higher management hierarchy, etc.

A SWOT analysis leverages different data sources

Leveraging different data sources in a SWOT analysis allows businesses to gain insights into their competitive landscape, customer base, and more.

The use of multiple data sources helps to reduce bias when conducting a SWOT analysis, since it provides an overall view of the organization within its given environment. Companies typically utilize internal information to identify strengths and weaknesses related to the resources available within their control, such as assets or capabilities. To get an idea of external forces at play (opportunities or threats), companies must look outside their own walls for broader markets, competitors' strategies, economic conditions, etc. That being said, this can offer a more well-rounded assessment than focusing solely on one source within the organization that may potentially be biased due to personal beliefs or interests.

A SWOT analysis may not be overly costly to prepare

Depending on the complexity of the SWOT report and the

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amount of detail required, this type of analysis can typically be completed with little outside assistance or consulting. In addition, many different staff members within an organization may be able to contribute to its preparation without any additional training or external consultation due to its simple framework and straightforward language.

It also allows organizations to quickly pinpoint improvement opportunities without developing lengthy reports and detailed documents, which require many resources. By providing an easy-to-read snapshot into the current situation (which identifies potential areas for growth), companies can utilize these findings within their everyday decision-making processes to optimize performance and efficiently maximize profits.

SWOT Analysis Example

In 2015, the Value Line SWOT analysis of The Coca-Cola Company provided an overview of its strengths, weaknesses, opportunities, and threats. This approach highlighted the well-known brand name, an efficient distribution network, and emerging global markets as its main advantages. Weaknesses pointed to foreign currency fluctuations and competition from healthy beverage providers, while threats included a growing public interest in "healthy" drinks.

Although it seemed daunting after conducting the SWOT assessment at that time, Value Line predicted that Coca-Cola would stay a leading provider with reliable dividends and capital development for stockholders. Over the last eight years, these predictions have been proven correct; presently, KO (Coca-Cola) shares are worth more than 60% more than prior to completing the SWOT analysis, while Coca-Cola continues to hold 6th place globally as one of the world's most influential brands.

To demonstrate how vital this type of strategic review can be

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for any organization, consider a hypothetical organic smoothie business that underwent a SWOT examination to recognize its performance vis-à-vis competing firms in their respective industries. It was found that their most important qualities lay in good resource management for ingredients, personal customer service, and effective supplier connections. At the same time, shortcomings arose from poor product diversification, high staff turnover, and outdated hardware.

Furthermore, they saw opportunities presented by advancing technology along with increased enthusiasm for health-oriented lifestyles and possible dangers such as frigid temperatures damaging crops and the pandemic upsetting international supply lines. Following this evaluation process alongside other strategies allowed this business to recognize where it excelled internally, then utilize those advantages combined with external prospects to improve upon weak points while eliminating potential issues before they became a reality.

STRATEGIC GROUP ANALYSIS

To effectively assess and move forward with your business plan, it is beneficial to organize yourself along with your competition based on the similarities or distinctions that exist between your individual marketing strategies. Once you have identified who shares a similar approach as yours, you can then identify potential areas of advantage that may be utilized to gain an edge over competing businesses.

Concisely, this exercise can help inform future business plans toward achieving optimal success.

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What is a Strategic Group

Strategic group analysis is a method used by organizations to analyze and determine the competitive landscape in their industry. This process entails recognizing clusters of firms in an industry that share comparable features, such as cost structure, range of products and services, official organization, processes, and the preference and perceptions of consumers. Companies belonging to the same strategic group typically compete for the same customers with similar strategies and resources.

The concept of strategic group analysis was first introduced by Harvard Professor Michael S. Hunt in his doctoral thesis report in 1972. He defines a strategic group as "a cluster of firms that share the same or similar strategies regarding production technology, distribution channels, market segments served, pricing policies, types of products offered, labor use policies, advertising activities, and research and development efforts." The main purpose of using this technique is to identify groups within the industry where competition is most intense, so companies can adjust their strategy accordingly.

By looking at how companies within a certain strategic group interact with each other—both internally and externally — organizations can better understand their competitive advantages and disadvantages relative to one another. Through this analysis, companies can make decisions about how best to position themselves against their competitors and make sure they're focusing on areas where they can excel relative to others in the same group. In some cases, it may even be beneficial for a company to form alliances with other members of its strategic group to better compete against larger rivals or win customers away from them more easily.

Strategic Group Example

If we look at the food service industry, one such strategic

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group is fast-food restaurant chains. These establishments promote affordability and convenience, featuring speedy services and an extensive array of menu items with competitive pricing relative to their rivals.

Other strategic groups within the food service sector include fine-dining restaurants, cafés, and family restaurants; each of these different categories offers distinct characteristics regarding the quality of offerings, atmosphere, cost, and more. Fast-food chains separate themselves from these other strategic groups by virtue of their pricing model and convenient services that appeal to busy customers on a tight budget.

How to conduct a strategic group analysis

To carry out a strategic group analysis of your own, proceed as follows:

Make a list of direct competitors

Making a list of direct competitors for a strategic group analysis involves identifying companies in the same industry or market segment as the company one is representing. It involves assessing the inventory of products and services that the businesses have, their target demographic and customer base, and their standing with consumers. A key step in this process is to determine which specific organizations represent challenging obstacles that may impede the success of your own business if not addressed.

For example, when compiling a list of direct competitors for a retail store selling athletic footwear, one could consider stores such as Nike, Adidas, Puma, New Balance, and Reebok since they all offer similar types of products targeting an overlapping customer base.

Distinguish between companies on the list

This allows you to understand which groups of competitors

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are more competitive than others and provides insight into why they might be doing better.

To begin, record the characteristics of each company, including size, the versatility of merchandise, product pricing, features, demographics of target audiences, and platforms where they are active. Knowing this information will help you compare companies side-by-side to discern who has an advantage in certain markets or product categories. For example, one company may have a larger size that presents opportunities for economies of scale that smaller, lower-cost competitors cannot match. Another company may offer features or pricing strategies that favorably position them in their market segment relative to other companies on the list.

By assessing these attributes individually and comparing differences between companies on the list, you can identify key areas where one strategically placed competitor has an advantage over another. You can use this data to craft your own strategy against these competing firms by gaining insights into what drives their success and helps them outperform those who fall behind or underperform.

Organize the companies on a map

Organizing companies on a map for strategic group analysis is an effective way to understand and visualize the competitive positions of each company. This can be done by identifying defining characteristics such as market position, size, price, and versatility of the inventory. Companies with prominent market positions or larger sizes may have larger circles on the map compared to those not as significant. Companies that are close together in placement may be direct competitors, while those more spaced out may have less impact on the business being analyzed.

To further clarify how competitors compare to one another, it may also be helpful to establish an X-Y axis alongside the

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map to designate price (vertical) and versatile inventory (horizontal). For instance, placing a company in the top left corner may indicate that they offer expensive products with many features. On the other hand, the bottom right may suggest lower prices with fewer functions - so it's important to decide which dimension has priority when plotting company placements.

It can be helpful if you include a key explaining what all positions mean and which elements have been used to measure them along your chosen axis points; this way, any subsequent viewers will find it easier to interpret any patterns found inside the group analysis map.

Evaluate the data on the analysis

When evaluating the data from the strategic group analysis, it is important to consider the overall market and potential opportunities that could arise as a result of your findings. Examine the size of each competitor's market share to determine which ones dominate the sector. If any small companies have recently emerged, then look into how they may be targeting your business and assess whether you need to develop a competitive strategy in response or not.

Additionally, analyze the competitive advantages of each individual company to ascertain where your brand stands. Is it positioned favorably in terms of pricing, product range, reputation, and visibility? Make note of any trends around decreasing customer loyalty towards competing brands so that you can use this insight when crafting new strategies for ensuring customer retention in your own organization.

You should also compare each attribute between different competitors to see who has the edge over their rivals — this gives you an idea of what makes them successful and how you can emulate some aspects while making yours even better than theirs. By incorporating quantitative insights

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during your evaluation process, you will be able to gain valuable insights on how to move forward with developing strategies that aim at overtaking competitors while remaining relevant in changing markets.

Benefits of a strategic group analysis

The benefits of carrying out a strategic group analysis include:

Discover new business opportunities

It can help you discover markets that have not yet been tapped into, enabling you to reach a wider consumer base than your competitors. By focusing on engaging novel groups of potential customers or broadcasting promotional messages across newer digital platforms, you have the opportunity to create brand recognition with those who have not been exposed to your product or services previously. Companies may benefit from being first-to-market in an emerging market, as it can establish them as the front-runners in terms of profits, name recall, and market share.

For example, suppose a technology company performs a strategic group analysis. In that case, they may discover an untapped market segment — retirees, who may be more likely to adopt their products given the right approach. Executing well-thought-out campaigns targeting this population could lead to higher sales and profits for the company. This technique allows companies to capitalize on demographic trends before their competitors do and gain early access to profitable markets, which can significantly improve long-term success for businesses leveraging this tool.

Learn from competitors' mistakes

Learning from competitors' mistakes is a key benefit of strategic group analysis. By studying the mistakes another

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company has made, you can make sure to avoid the same issues in your own business venture or project. For example, if one company ran an advertising campaign that extended for ten months and turned out to be unsuccessful — with consumers losing interest — you can opt to run a shorter campaign that may generate more positive results.

Conducting a strategic group analysis offers insight into why the failure occurred, what contributed to it, and any changes in the market that ought to be taken into consideration when plotting future projects. When collecting information on competitors' mistakes, look at consumer reception of their efforts — such as sales conversions — as well as areas where they may have gone wrong, like neglecting customer support. This type of analysis can help inform and refine any action plans for future work.

Additionally, learning from other companies' mistakes allows you to build up your business acumen to understand why certain decisions were made and what consequences they ultimately had, resulting in either success or failure.

Importantly, learning from competitors' mistakes through strategic group analysis is incredibly useful and cost-effective, as it enables you to take proactive steps by averting similar risks for any new business initiatives or attempts.

Evaluate the success of competitors

You can use the strategic group analysis to examine how a competitor's approach proved successful. If, for instance, a different company saw success with social media posts that included humor in terms of engagement and recognition of their brand, then it may be worth exploring the same approach for your own business. By doing so, you can confidently plan your next project, knowing that what worked for one company could work for yours as well.

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The analysis will also provide insight into when it might make sense to replicate an existing strategy or try something entirely new. Suppose everyone else in the industry is attempting to use humor in their communications, but not seeing any lasting success. In that case, it may be better to look elsewhere and find new innovative approaches that have yet to be explored by other companies. Additionally, reviewing components such as timelines and people involved helps establish where different strategies do and do not fit within your unique context.

PORTER'S FIVE FORCES

Porter's Five Forces is an incredibly helpful tool for understanding the underlying dynamics of any particular industry. By gaining knowledge about a business sector or a rival's operations, you can assess ways to create an edge over the competition. The "Five Forces" identify five aspects that must be taken into account when studying an industry: the threat of new entrants, buyer bargaining power, supplier bargaining power, the threat of substitution, and the intensity of rivalry among firms. Examining how each factor influences the whole setting of the sector can help in optimizing the market position and improving profitability.

Difference Between Porter's Five Forces and SWOT Analysis

Porter's Five Forces and SWOT Analysis are different tools used to analyze businesses and make decisions. Porter's Five Forces are primarily utilized to assess the competitive environment in industry. It considers five key factors and seeks to determine how much control each group has within the industry and how likely it is that new players will enter the market due to economic conditions or other barriers.

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A SWOT analysis looks more deeply at an organization’s internal potential, focusing on four key elements: strengths, weaknesses, opportunities, and threats.

Ultimately, these two models serve different purposes when attempting to assess a company’s performance, even though they both involve understanding various aspects of their respective industries — Porter's 5 Forces provides data on macro-level competition. In contrast, SWOT analysis provides insight into microenvironmental variables that impact firms operating therein.

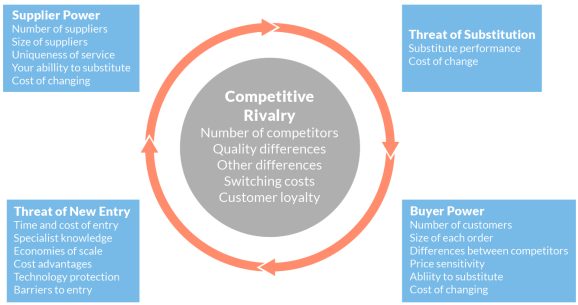
Who Created the Five Forces Model?

Harvard Business School professor Michael Porter created the Porter's Five Forces Model in 1979. It was first introduced in his Harvard Business Review publication entitled "How Competitive Forces Shape Strategy." In it, he explained how external forces like suppliers, customers, new entrants, substitutes, and rivals could impact an organization's ability to compete and gain profits.

The Five Forces Model was designed to be used by business leaders as a tool for analyzing their competitive landscape. By assessing how they stand up against each of these five forces, organizations can better understand their position within an industry and what strategic decisions they need to make to maximize performance and outperform competitors. Over the years, the model has become an indispensable tool for managers looking to assess the competitiveness of their firm’s position within an industry. Today, it continues to be used by companies worldwide when developing effective business strategies.

What Are Porter's Five Forces?

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Competitive rivalry

Competitive rivalry is the most important of Porter's Five Forces and reflects the level of competition between companies in a particular industry. The degree of rivalry amongst competitors is often affected by factors such as market share, product differentiation, market size/growth, fixed costs, entry barriers, advertising expenses, and concentration ratio. All these factors have an impact on how intense the competition is between companies within an industry.

When assessing competitive rivalry, it is important to consider factors such as how many competing firms there are in a particular industry, whether the products they offer differ significantly from each other (product differentiation), and whether any advantages that one firm has can be matched or surpassed by another. It's also important to assess the size and rate of growth for the global or local same-industry markets being served.

The rivalry also depends on fixed costs (having higher start-up capital usually creates more intense competition). Fixed costs also play a role because when rivals are vying for a limited number of customers, they may discount prices aggressively to outcompete each other, leading to reduced

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profits across all players in that particular sector.

Entry barriers should also be considered since if establishing a new business venture requires too much time and money, then competition will reduce intensely when compared with industries with few entry barriers enabling new players to enter quickly into existing markets, creating fierce rivalries between incumbent firms and newly formed ones which can take away their market share further reducing profit margins for everyone involved.

In highly competitive markets, companies compete for customers by offering lower prices and launching high-impact marketing campaigns. This strategy makes it easier for buyers to switch to another seller if they feel that they are not getting a good deal from their current provider. On the other hand, in industries where competition is minimal due to a lack of alternative suppliers or products, companies can enjoy immense power and higher profits as a result.

For example, if someone were setting up a haulage business, they would need to consider how many potential rivals exist in this field, what prices they charge (and how easy it would be for them to discount), what resources those competitors have available compared with theirs and what are some key entry barriers so that they can accurately assess competitor power before forming their own pricing strategy accordingly.

Potential of New Entrants Into an Industry

This element takes into account a company's ability to ward off potential rivals and how easy it may be for newcomers to enter the industry and compete effectively with existing players. Knowing which characteristics are needed to successfully break into the market, as well as what barriers exist that could prevent others from entering, can help companies determine their competitive edge over others in their field.

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The main factors used to measure the potential threat posed by new entrants into an industry are ease of entry, cost of entry, economies of scale, and product differentiation. If it is relatively cheap and simple for competitors to set up shop in the same industry, then this will pose a larger threat.

Aspects such as high startup costs or complicated distribution networks can act as barriers against prospective entries, especially if there is a lack of resources or access to key technologies that already exist within a certain sector. Additionally, companies operating in industries with significant government regulation or with entrenched customers who are loyal due to switching costs also tend to require more effort for new competitors looking to get started.

Suppose companies have established themselves as large organizations that benefit from economies of scale and can drive down their overall running costs. In that case, they will enjoy a competitive advantage over smaller players attempting to enter the same market. This can make it expensive for new entrants due to inflated prices being charged by organizations able to manipulate supply & demand dynamics, as well as offering often superior services than those just starting in the same field.

Having said all this, even seemingly protected markets should be guarded against because changes in regulation or technology could make them vulnerable again, allowing agile newcomers who offer low-cost options combined with innovative thinking to take advantage while still staying competitive in today's climate.
The airline industry serves as a great example of this due to its relatively high start-up costs and limited availability of routes/takeoff slots. Yet, some small operators have managed to break through all these difficulties and have become

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successful thanks partly to regulations being reduced over time, meaning minimal profit margins were now feasible while providing quality services at discounted prices compared to legacy airlines, making them appealing enough to attract customers away from more established carriers — something that would not have been possible without determined effort by those newcomers trying to break into formerly protected markets.

Power of Suppliers

Power of Suppliers looks at the impact of suppliers on a company's profitability. This refers to how easily a supplier can increase their prices or reduce the quality of their product. How much power suppliers have depends on how easy it is for a business to switch between them. A high concentration of suppliers increases competition, while a low concentration decreases competition, which may allow them to charge higher prices. This could put businesses relying heavily on these suppliers in an unfavorable position.

It's also important to note that supplier power is not just limited to pricing — some may also be able to control delivery conditions as well as force businesses into expensive contracts, which can have an impact on profitability, it can also affect product viability. An example of this would be if you intended to manufacture electronic devices, but then found out that one supplier held a monopoly over all specialist components required for production — causing your costs for those components to skyrocket due to a lack of competition in the market.

Power of Customers

The power of customers is the ability of buyers to affect prices and other elements of a product or service within an industry.

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In general, when considering buyer power, it's important to look at the number of buyers compared to suppliers as well as other factors, such as customers' switching costs and bargaining leverage related to the size of orders or volume discounts offered by suppliers. The more customer-driven an industry is, the higher its potential for customer buyout, which creates incentives for competitors and suppliers alike to remain competitive in terms of pricing, quality, and service delivery to appeal to customers' needs in the best possible way each time they visit or shop from them.

For example, if only two large companies were trying to buy a particular type of material from three suppliers, then those two large companies would likely be able to exercise strong buyer power by driving costs down through competition between the three suppliers. On the other hand, if many smaller entities compete to buy that material from only one supplier, then that supplier has a significant amount of leverage over setting prices because there is limited competition.

In terms of food retail as an example, this can affect how many supermarkets charge for food products as well as how much influence they have on their suppliers with regard to price negotiation. If supermarket shoppers have access to multiple stores offering similar products at different price points, then supermarkets must constantly lower their own prices in order to remain competitive and ensure customer loyalty; this decreases supermarkets' buyer power with their own suppliers because they often end up paying more than necessary for materials.

Similarly, larger retailers like Walmart or Costco have extensive buying powers due to their size and ability to purchase in bulk, which allows them to offer cheaper options compared to smaller retailers, who may not have the same purchasing benefits as wholesale suppliers.

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When evaluating industry competitiveness it's important to take into account the strength and presence of buyers in assessing the level of buyer power on market participants, otherwise pricing strategies may be misaligned.

Threat of Substitutes

The threat of substitutes shows how vulnerable a business may be to new competitors entering the market. Suppose a customer has access to alternative products or services that meet their needs. In that case, they can switch away from a particular company, causing decreased profits and market share due to price competition. This is especially relevant when disruptive technologies enter the industry and make older methods obsolete.

For example, 3D printing technologies have drastically lowered the cost of manufacturing toys and several plastic tools compared to traditional methods, leading to increased competitive pressures on organizations within the market.

Organizations need to actively monitor emerging trends to protect against this type of threat. They must remain up-to-date on customer demands and anticipate changing market conditions so that they can provide innovative solutions that offer better value propositions than competitors. The key here lies in responding quickly enough before new competitors can take advantage of the situation — if this happens, then your organization may face reduced profitability as customers switch away in search of more competitive offerings.

Example of Porter's Five Forces

Examples of Porter's Five Forces are listed below. By recognizing each force, businesses can comprehend the potential opportunities and risks they face.

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Competitive rivalry

Under Armour has several well-established competitors in the performance apparel market, such as Nike, and Adidas. These companies and several others in the industry have significantly higher resources than Under Armour, allowing them to dedicate more money to increasing their market presence within this growing product category. Unfortunately for Under Armour, due to the lack of patent protection for any of its fabrics or processes, other companies could potentially replicate any part of its portfolio in the future. This puts Under Armour at a disadvantage when it comes to staying ahead of its competition and maintaining a commercially successful product line.

Bargaining power of suppliers

Under Armour has the edge over its suppliers because they receive its goods from a diverse range of companies in various nations. Rather than relying on just one supplier, Under Armour can draw on an array of manufacturers, thereby weakening the bargaining power of any single provider. By spreading out production among many different vendors located around the world, Under Armour eliminates potential holdups or price increases that could arise if all items were sourced from one supplier alone. This way, it's better equipped to handle any issues with supplies and has more control when negotiating cost and delivery terms.

Bargaining power of customers

Under Armour has two distinct groups of clients it must satisfy: wholesale customers such as Dick's Sporting Goods and end-user consumers. Wholesale customers can leverage their purchasing power by having the ability to substitute Under Armour products with those of its competitors; by doing so, they can secure higher profit margins for themselves. End-user consumers do not have this same kind of bargaining power due to Under Armour's successful brand recognition in the market.

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Threat of new entrants

Developing a brand in the performance apparel industry is expensive. Companies must invest heavily in advertising campaigns, building product awareness, and stimulating consumer demand to achieve success. This financial burden can act as a barrier to entry for new entrants, making it difficult for them to break into the market. However, firms already established in the sports apparel sector, like New Balance, have an advantage over these outsiders; they already understand the industry dynamics and have built up trust with consumers. Consequently, these businesses may still be able to tap into the performance apparel space at a later date if they feel so inclined.

Threat of substitute products

The foreseeable future does not present any obstacles for Under Armour, as the demand for performance apparel, athletic shoes, and related accessories is predicted to rise. This means that this particular factor will not be a challenge for Under Armour in the near future.

How to Use Porter's Five Forces Model

To use Porter's Five Forces Model, begin by examining each of the five forces individually and then evaluating how they apply to your industry. After that, list down the forces present in your specific industry and rate their importance from "+" (moderately favorable) to "++" (very favorable), "-" (moderately unfavorable) to "--" (very unfavorable), or "o" (neutral).

Once that has been completed, analyze your findings to see if there’s anything that could be done to improve your company’s competitive position or increase profitability. If some of these forces appear unfavorable based on your analysis, look for ways you might be able to transform them into something more advantageous for your business. This could involve entering new markets or seeking out different

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suppliers with better terms, for example.

Finally, take the key insights from Porter's Five Forces Model and create actionable steps you can take in order to achieve success in the long run. This could include developing strategies around pricing structures, quality assurance checks, marketing campaigns, and even creating modern digital systems tailored toward customer service improvement. A well-thought-out game plan that takes all five forces into account, coupled with innovative solutions that dovetail traditional operational practices with modern technology approaches, should lead the way forward down the path toward achieving lasting competitive advantage.

PERCEPTUAL MAPPING

Perceptual mapping is a tool used by businesses to understand their customers' feelings, thoughts, and perceptions regarding their products, services, the competition, and their positioning. A perceptual map visually depicts how customers perceive and evaluate different aspects of a company's offerings in relation to each other. Through this graphical representation of customer data from surveys, ratings, and other analytics, companies can gain insight into how they are viewed by the public.

Perceptual mapping allows businesses to refine their messaging and product offerings to better meet consumer needs and gain an edge over competitors.

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The map uses a two-axis scatter chart, where each axis represents an industry attribute. You must first decide which attributes you will use for your axes by selecting opposing values, such as high vs. low price or most exclusive vs. least exclusive. Once these attributes have been selected and all brands have been plotted on the chart, you can get an understanding of how consumers perceive all the brands in comparison to one another.

This data gives you insight into how people view products and services in your industry so that you may accurately determine the competitive positioning of not only your own brand but also those of other businesses in this market. It allows for an at-a-glance look at how people perceive each brand individually and comparatively, giving you direction when designing campaigns that improve customer loyalty and attract new customers through thoughtfully crafted messages that align with these ideals.

Thus, before making a perceptual positioning map, it is essential to do some initial legwork to ensure its accuracy in depicting the actual perception of each product or service relative to its competition within your chosen industry segment.

Why do Perceptual Mapping?

The main benefits of creating a perceptual map are:

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Insight into customers

Perceptual mapping can provide you with insight into your customers' thoughts and opinions about your company, products, services, and their relationship with competitors. The map gives you a visual representation of how they perceive the differences between different brands. Through the map, you can identify areas of strength or weakness in the market compared to other competitors in the same industry. For example, it lets you discover which factors make your brand stand out from its competition and if any blind spots could be addressed.

In addition, it identifies which features differentiate it from competitors and appeal to certain customer segments. It also helps identify new opportunities for growth or untapped sources of revenue by discovering who is not buying from you now but would potentially do so if targeted differently in terms of pricing or message.

Perceptual mapping indicates how loyal customers are towards one product over another, allowing companies to better understand both product strengths and weaknesses to develop effective marketing strategies.

Perceptions tracking

This involves gathering feedback from customers to track how their perception of your brand, product, or service changes over time. This type of tracking can provide valuable insight into how customers view you compared to competitors and help you understand where improvements can be made.

By analyzing customer responses over time, it is possible to detect any shifts in customer perceptions, allowing for the identification of emerging trends or hotspots. For example, introducing a new product or service could influence

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consumer sentiment either positively or negatively. Through perceptual mapping and tracking consumer reactions, businesses can gain insight into whether the introduction had an impact on positive perceptions or if customer sentiment remained the same during and following the launch.

If a new competitor enters the market, repeating this process would also provide valuable data points with which to compare customer perceptions against those of other competing brands. This analysis helps understand if your brand is perceived as having greater value than your competitors and what kind of value consumers place on your offering before making a purchase decision.

Market researches on competitors

Market researches using perceptual maps can help you better understand where your competitors are placed in the market and how your products compare to theirs. By assessing the customer's responses when asked about the competitor’s product, you can gain insights into how those customers view their offerings. This information can provide useful insight into a company’s competitive advantage or disadvantage, allowing you to target areas where you have an edge over others in the market.

Tracking customer preferences and perceptions of competitors can also enable more strategic decision-making regarding promotional campaigns and product development. For example, if a customer perceives one competitor as having a superior design, it may be beneficial for your brand to focus on improving its own designs to draw customers away from that rival company. Through such insights gained through perceptual mapping techniques, companies can adjust their advertising strategies and product features to give themselves an edge over their rivals in the market.

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Brand repositioning

Brand repositioning entails changing the perception that customers have of a brand. It involves shifting customer beliefs, values, and perceptions about a company's product or service. Perceptual maps can be used to help businesses gain insights into how consumers view their brands in comparison to competitors. The data extracted from perceptual maps can inform brand repositioning decisions, helping companies decide on strategies for creating new associations or adjusting existing ones with their brand.

For example, if a perceptual map highlights that customers associate your competitor's brand with quality and your brand with affordability, you may choose to emphasize the high-quality ingredients within your products and services for better customer appeal. You could also adjust pricing so that it fits the perceived value of your product, thus matching what consumers perceive as "affordable" for certain products. This would ensure you are still competitively priced while maintaining an appropriate level of quality associated with your offerings.

It is important to note that consumer feedback from perceptual mapping should be taken into consideration, but not solely relied upon when making decisions related to price points or marketing strategy revisions. Companies should also consider other factors such as market trends and research data before implementing changes based solely on consumer opinions gathered through perceptual mapping exercises.

Development of new products

When developing a new product, perceptual mapping can provide useful insights. It can help you identify customer preferences and reveal opportunities for differentiating products in the market. For example, looking at a perceptual map of customers' ratings of existing products might reveal

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any gaps in the sector where there are no satisfactory solutions or services. This could give you insight into which features customers would benefit from most, allowing you to focus on these elements when producing the new product.

Perceptual mapping also helps you forecast demand for a potential product before mass production begins. You can use what you learn about customers and their preferences from the maps to get an idea of how well the product will be received by your target audience upon launch. With this insight in hand, it becomes easier to make decisions regarding how much to produce and when to launch it for maximum effect.

Furthermore, perceptual mapping can also assist in assessing how competitors may be impacted and will react to your new product entering the market. Maps allow comparison between brands and products within each category, enabling analysis of competitor strategies so that they may be integrated into the company's current system or taken into account during marketing efforts. With these considerations in mind, your organization will be better placed to outmaneuver competitors and maximize sales potential with its latest release.

Who can use a perceptual map?

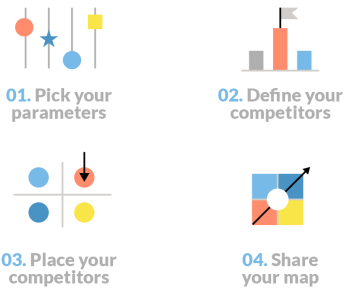
Perceptual mapping can be a helpful tool for any business or organization that provides a service and wants to better understand the perceptions of its customers. Schools, colleges, and universities often use perceptual maps to measure student sentiment by assessing how students view their institution compared to others in terms of quality, reputation, cost, etc. Political campaigns also rely on perceptual maps to gain insight into voter opinions and determine where they stand in the public’s eyes relative to other candidates.

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Marketing teams and brand managers in competitive industries can also utilize perceptual maps to evaluate customer feelings about different products or services offered within the same sector. This type of analysis helps them understand what sets each offering apart from one another so that they can adjust their strategy accordingly. Ultimately, perceptual mapping gives organizations an inside look at how their offerings are perceived by potential customers or voters — information that can be priceless when it comes time to make important decisions.

How to create a perceptual map

Below are five steps you can follow to design an effective perceptual map:



Pick your parameters

When selecting parameters for a perceptual map, it is important to consider your own business objectives as well as what attributes are important in the market. This means taking into account customer pain points and the attributes that lead to success in your industry. Additionally, research or focus groups can be very beneficial in determining which parameters would make up an effective perceptual map.

Examples of potential parameters could include quality and price, modernity and complexity, coolness and practicality,

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and convenience and choice. These categories can then be split into two opposing values for each parameter. For example, with quality and price, you could have low-quality vs. high-quality as well as low price vs. high price; for modernity and complexity, you could have modern vs. traditional and complex vs. basic; for coolness and practicality, you get uncool vs. very cool and indulgent vs. practical; while convenience versus inconvenience paired with an extensive choice vs. a limited choice make up the last parameter set.

In essence, when creating a perceptual map, pick pertinent parameters based on your own business goals as well as market trends. Use available resources to help determine appropriate parameter sets before splitting them into two opposing values per category.

Define your competitors

Here, competitive analysis should be conducted to determine which companies are direct and indirect competitors. Through this analysis, you can gain knowledge of your strong points and weaknesses, who your target market is, what interests and choices they have, how your competitor's product or service differs from yours, and any customer reviews they have received. It is best practice to include at least 10 different competitors in a perceptual map so as to gain the most accurate visualization of one's position relative to them.

To ensure an efficient and accurate collection of competitor data during this phase of the perceptual mapping process, it is important to identify all available sources of competitor data. This includes exploring many forms of traditional marketing channels like television ads, radio spots, and print media; utilizing surveys or interviews with customers to receive valuable consumer feedback; researching online reviews; checking websites for product or service

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information; and checking social media accounts (of people followed by your target market). By gathering as much data about competing firms as possible upfront, you will save yourself time when creating your perceptual map later on down the line.

Place your competitors

Once you've established your industry's parameters and determined who your competitors are, it's time to create your map. Adding each competitor onto the perceptual map is essential to understanding consumer perception of the brand in comparison to its competitors. It helps to have insights from competitive analysis prior to drafting the map, as it will provide valuable information when deciding where each competitor should be placed.

Using insights from your competitive analysis, draw out your map and add your competitors where you think they belong. Start by plotting each competitor according to their ranking from your parameters. Placing them close together can indicate that there is a level of similarity between these particular products/services or brands, but placing them further apart could signify an extreme difference between them.

PERCEPTUAL MAP FOR FASHION BRANDS

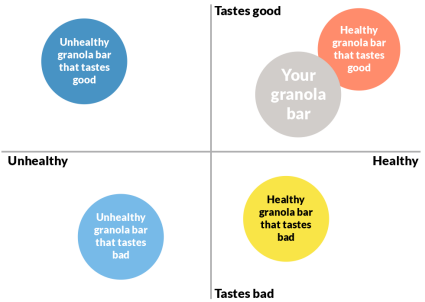


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For example, if the perceptual map is being created for a fashion brand, all the major fashion brands that offer similar products should be added to the map before positioning the particular brand under consideration. This allows you to gain a more accurate understanding of how consumers view each rival offering, allowing you to find an appropriate place to position your own brand.

This is also applicable to the example of the granular bar below.

PERCEPTUAL MAP FOR GRANOLA BARS



The same approach can also be taken with new product launches by closely examining individual product positioning, as this can help explain why certain products may be chosen over others.

By doing so, you can use existing consumer perceptions to positively influence customer decisions when launching or relaunching a product, making it easier for those customers to see its value and purchase accordingly. It also provides valuable feedback that can be fed back into future strategic planning sessions, allowing businesses to tailor their offerings accordingly while keeping up with market trends at all times.

Share your map

Once you have created your perceptual map and are

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confident in the results, it's time to share it with your marketing stakeholders and shareholders. This step is an important part of using the map as a tool for gaining further insights into consumer attitudes toward your brand or product.

During this meeting, conversations will take place about what may need to be changed within the brand. This could mean anything from differentiating your business model in comparison to competitors, changing advertising methods due to consumer attitudes not being what was expected, taking advantage of any opportunity gaps in the industry, or benefiting from promotional campaigns that can help shape consumer perception. At the end of the meeting, you should have a better understanding of which direction you should take next in terms of strategic planning.

BCG MATRIX (ALSO CALLED GROWTH SHARE MATRIX)

The BCG Matrix, or Boston Consulting Group Matrix, was developed by the Boston Consulting Group in 1970 and is used as a tool to help businesses evaluate their product and/or service portfolios. The matrix helps companies identify which products should be invested in and where resources should be allocated across a business' product divisions.

At its core, the BCG matrix is based on two main indicators of performance: market share relative to its competitors and market growth rate. It classifies each product or service into one of these four categories — stars, cash cows, question marks, and dogs — using those two criteria, based on their

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current level of success.

Understanding a BCG Growth-Share Matrix

Dogs (or Pets)

A "dog" is a product that has a low market share and is growing at a low rate; it is represented in the lower right quadrant of the growth-share matrix. Dogs have little to no contribution towards cash generation for the company due to their lack of market share and minimal growth potential. These products can be thought of as money pits, trapping company funds without providing much return — resulting in their suitability for divestment or liquidation.

Given its position in the growth-share matrix and its inability to generate sufficient cash flow, it would be recommended that companies look into selling or repositioning these "dogs" so as not to become trapped in an unprofitable venture. Companies can greatly benefit from freeing up any funds currently tied down by these products and reallocating them instead towards those with more potential. It may even be useful for companies to delve further into what lies behind the product's underperformance before taking any decisive action; this could include conducting market research on customer tastes or preferences that could indicate why there may have been high demand initially but then unreasonable amounts of stagnation afterward.

Cash Cows

Cash cows are products that are in low-growth markets with a relatively large market share. They provide the company with higher returns than the market's growth rate. These products benefit from a steady cash flow, and they often do not require much investment to maintain their current performance. A product's value can be determined by its predictability, as cash cows tend to have highly predictable cash flows.

Because of their low-growth nature, companies should take

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advantage of these products for as long as possible. Since these products generate more cash than is needed for day-to-day operations, companies can use this extra money to reinvest in “stars,” or new projects with the potential for high growth and high share in the future. This will allow them to maximize profits from all sources by leveraging both existing projects and new initiatives that could show potential for success later on.

Milking a cash cow may also involve cutting costs associated with production or advertising expenses that were previously allocated for it so that any additional revenue generated doesn't have to be invested back into maintaining the product itself but instead used elsewhere within the company towards other goals such as research and development. However, if competition arises or market conditions change, then these investments might need to be reallocated back towards maintaining the product rather than investing elsewhere to protect its position within the marketplace until it reaches its maturity point, at which time further decisions can be made about future advancements.

Stars

"Star" products are those that are situated in high-growth markets and make up a sizable portion of the market. They are situated in the top left-hand corner of the BCG Growth-Share Matrix, indicating that they bring in substantial revenue yet require a considerable expenditure of company funds. Stars typically experience rapid growth in sales and require a great deal of cash to fund this growth (usually in the form of advertising, research, development, etc.) due to their need to maintain their competitive edge and dominance in the market. In addition, with established competitors, it is important for them to continuously innovate to remain ahead. As such, stars tend to be quite costly investments for companies, as they often allocate huge amounts of resources to these products.

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When a star successfully remains a market leader, its returns also increase significantly, which means it eventually becomes a “cash cow” when market conditions change and the overall rate slows down. At this point, much less investment is required as mature competitors become less aggressive and profits remain relatively stable thanks to strong competitive advantages built prior to further investments in earlier days. Companies should consequently consider investing more in these stars during their fast-growth periods so that, during slower periods, they can potentially derive greater revenues from each product over time.

Question Marks

Question marks are products and/or business units with a high market growth rate relative to their current market share. They have a high market growth rate yet possess a low or weak market share compared to other competitors in their sector. They are placed in the upper right corner of the BCG Growth-Share Matrix and require frequent monitoring from management.

These products often consume large resources with low returns and may either become successful stars or be divested as dogs. Companies should assess these opportunities frequently to determine whether they could create value for the organization or not. If the company does not invest resources in these opportunities, a competitor will likely seize upon them and gain an advantage over time.

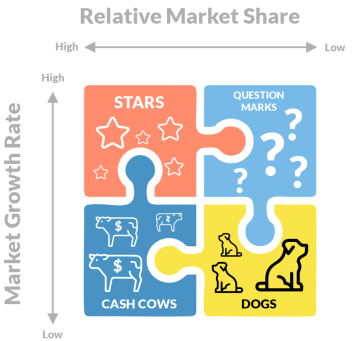
Management must pay attention to these opportunities because of their potential for rapid growth due to high demand in markets with low competition. However, there is also a risk that they may fail if they cannot capture significant market share and maintain profitability, even though heavy investment expenditures have been made. Companies need

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data-driven evidence on which decisions can be made when analyzing question mark businesses — this includes the close estimation of sales potential, consumer preferences, product features, etc.

Ultimately, investing in question mark businesses represents a gamble; however, if managed correctly, it has the potential to pay off handsomely since it provides access to new markets and customer segments while leveraging existing organizational strengths such as production capabilities, etc. It's important, however, that companies accurately forecast profitability when assessing these types of opportunities so that risks can be minimized as much as possible before making any major moves toward launching these products/services in new markets or sectors.

4 Quadrants of a BCG matrix



Stars quadrant
The "Stars" quadrant of the BCG matrix includes products or business units with the greatest market share and the most cash generated. Monopolies and first-to-market products may also be categorized as stars in certain scenarios.

Stars can be very attractive because they are high-growth

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business units and generate significant amounts of cash. The challenge with stars is that, despite their growth rate, they can consume large amounts of money too. So it means that although there's a lot of money coming in, an equal amount is going out as well, making the net revenue negligibly small.

This makes investing in stars something that requires careful consideration and great strategy. With proper planning, companies can make sure that their resources are being used wisely on these projects to ensure their success over time. It is important to point out here that if a star product can sustain its success for long enough without slowing down, then it could eventually become a cash cow when the market slows down due to its high market share and profitability until then.

Thus, investing in stars is essential when forming part of any BCG strategy for growth since they possess huge potential in terms of revenue generation — so long as they receive adequate levels of support from management, both financially and strategically.

Cash Cows quadrant

The Cash Cows quadrant is the most desirable of the 4 quadrants in the BCG Matrix. It represents products or services with a high market share but low growth prospects. These products are already well established and typically generate more cash than they consume; hence, they're referred to as "cash cows."

Cash cows offer a significant degree of stability and security for an organization's bottom line because they have such well-established footholds in their respective markets that further investments are not needed to maintain them. Instead, companies can simply "milk" the gains from these mature entities by collecting profits passively and using these funds elsewhere in their business operations. This could be

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reinvesting money into existing cash cows or investing it into new opportunities with higher potential returns, such as Question Marks or Stars.

Because cash cows typically require less investment while providing strong financial yields, some businesses may be tempted to focus all their efforts on cultivating and investing in this type of product or service alone. However, this would be a mistake, as over time competitors may release new innovations that could take away your once-secure market share and leave you without a competitive advantage over other players in your industry. It is important to balance out your portfolio so that you have multiple sources of both income and opportunity moving forward.

Dogs quadrant

The Dogs quadrant of the BCG matrix is used to identify products with a low market share and low growth rates. These units lack business performance and cash flow contributions.

Dogs can range from small side businesses that bring little to no net income and growth opportunities, all the way up to large-scale business units within an organization that consumes most of its cash flow without offering any return on investment. These companies are typically stagnant in terms of performance and earnings.

When it comes to these cash-draining operations, they should be identified early so that necessary steps can be taken to either reduce costs, increase sales, or develop new strategies for better efficiency. In some cases, the best option may be divesting completely and eliminating the non-performing investment altogether.

Question Marks quadrant

The Question Marks quadrant of the BCG matrix is for

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business units or products that have high growth prospects but a low market share. These units typically consume a lot of cash and bring little in return, making them net losers for the company.
Question marks need to be closely monitored, as they can quickly turn into either stars or dogs. Therefore, companies should invest resources in these parts of the business if there is potential for rapid profits, or sell off these parts if they do not have this potential.

Question mark investments are usually risky and require significant resources, yet they have the potential to offer higher returns than other quadrants. Companies should consider their current strategic position before investing in question marks; if they already have strong stars taking up most of their time and energy, it may be more beneficial to prioritize those instead of risking further money on uncertain question mark prospects.

Many businesses often find themselves with too many question marks at one time; in this case, it would be better to cut back on investments rather than continue down this path until all resources are drained. By focusing on fewer projects with greater potential for success (i.e., "stars"), management can ensure a better return on investment over time.

Example of a BCG matrix
The BCG matrix example of The Coca-Cola Company serves to demonstrate the complexity of product management. As a company that offers more than just its flagship brand, each drink line requires assessment with regard to its market share and potential for growth.

Their numerous drinks, from titular soda to Minute Maid, Diet Coke, Kinley, and Dasani, can be divided into four different quadrants. Minute Maid and Diet Coke can be considered question marks as they possess moderate appeal with

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potential room to expand. Conversely, Kinley and Dasani bottled water brands have strong market positions in Europe and the U.S., thus making them stars that continue to show signs of consistent growth.
With low growth but an impressive market share, their mainstay soda is classified as a cash cow. However, legislation against soft drinks coupled with negative public sentiment has caused the sales of Coca-Cola's signature beverage to reduce; thus placing it in the Dog quadrant as well. This particular instance emphasizes that some products can belong to more than one corner of the BCG matrix simultaneously.

When to use a BCG matrix
When it comes to knowing when to use a BCG matrix, there are several different circumstances that require its use. It is particularly useful for marketing, project management, and strategic management as it helps organizations better understand their business portfolio. Generally speaking, the BCG matrix is employed during the early stages of creating a strategy for a marketing campaign or project.

If one of your products is classified as a "question mark" in the BCG matrix, you may want to consider increasing investments in order to gain a larger share of the market. A BCG matrix can also be used in determining whether you should pause investment in certain products (if one of your products ends up being categorized as a dog), maximize cash flow from specific products (by identifying your star products with the highest market share), or allocate resources more effectively (to have better chances at turning a profit).

However, it’s important to keep in mind that the matrix is typically better suited for larger businesses, where there is enough relative market share for analysis. For smaller businesses that don't have much wiggle room with their budget constraints or limited resources, using this technique

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may not be feasible since they cannot spend more on the marketing budget to increase market share.

How to use the BCG Matrix

Stars

"Stars" refer to products that have a high market share in a rapidly growing market. These products are very attractive as they are located in an extremely competitive category. That competitive advantage gives them the potential for high revenue growth, since their market share and growth rate are generally quite high.

To take advantage of this, businesses must invest heavily in developing innovative products that can stand out from the competition. This may be expensive, but is necessary for sustained success because stars typically occupy product life cycles that extend for long periods of time. In addition, if successful, these stars can even become cash cows within the marketplace when their respective categories mature (assuming they maintain their market share).

However, not all stars turn into cash cows due to constant innovation and changes within many industries; even if an innovative product becomes highly popular at one point, it could quickly become obsolete thanks to technological advancements or other external threats. If this happens, then a star instead turns into a dog — that is, it inevitably fails and ceases profitable production.

Question Marks

Question marks refer to businesses or products that have high growth rates but occupy a small market share. They are also known as "problem children," and most businesses start off as one of these. Even though they have the potential to reach great heights, it requires huge investments to capture or protect their market share.

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Investing in question marks should be done strategically, since it is a risky option; not every investment will lead them to become stars and eventually cash cows. Otherwise, without proper focus, they may produce negative cash flow instead of profits and end up becoming dogs or exiting the market altogether. Therefore, careful consideration is essential before investing in question marks, since this kind of decision can make or break the entire business.

Other considerations such as product promotion strategies should also be taken into account while opting for this category, as they are not always guaranteed success stories like stars who already possess a strong foothold in the industry and guarantee good returns with steady investment levels over time. Without substantial promotions within a short period of time, question marks may fail to gain any traction among its target audience, which can prove disastrous for the company's prospects.

Cash Cows

A "cash cow" is a company or product that earns an exceptional amount of money relative to its investments and other costs. These companies/products are the crown jewels of a business portfolio — they earn revenue while needing very little investment and should be managed to guarantee continued profits and cash flow. They can often be large corporations or SBUs (Strategic Business Units) that are efficient at innovation.

Using the BCG matrix, Cash Cows should capitalize on their sales potential and make the most of their current size to boost profits. Companies should also keep in mind that even though these organizations are making big bucks, they aren't necessarily taking any risks through investing or growth initiatives. Therefore, it's important to recognize when these opportunities present themselves so as not to neglect them.

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This will help ensure consistent profitability throughout the years ahead.

In the long run, Cash Cows will form an integral part of any BCG Matrix strategy — as long as investors remain focused on both defending their market share successfully and leveraging their size properly, there should be ample opportunity for generating high levels of profit through relatively low-risk investments over an extended period of time.

Dogs

A dog in the BCG matrix is any product (or service) that has a relatively low market share in a low-growth or declining industry. These products are often referred to as "cash traps" because they generate enough cash to fund their own operations but do not offer much promise for growth or future profits due to their lack of competitive advantage. If the dog doesn't have another goal in mind and there aren't very good chances of it becoming successful, there’s no good reason to keep it under management.

Dogs face cost disadvantages due to their limited scale of economies, which makes it difficult for them to return on investments. They are also typically situated at a declining stage of the product life cycle, making them less attractive for companies and investors looking for promising opportunities.

Therefore, in order to use the BCG matrix effectively, companies should look at ways of minimizing the number of dogs within their portfolios by optimizing current operations and getting rid of non-value-adding activities or features that these products possess. Companies should also reposition their offerings in terms of pricing strategy or sell off these businesses altogether if there are no prospects for gaining market share. This will help ensure that resources are being allocated efficiently with minimal risk.

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Competitive strategy and BCG Matrix importance

Competitive strategy is essential for long-term success in any business. Building a marketing plan that takes into account both the elements of competitive strategy and market research tools like SWOT analysis helps ensure a business remains proactive in meeting changing customer needs as well as its competitors' actions. Planning allows companies to effectively make adjustments so that they don't miss out on potential growth opportunities. If management fails to consider these dynamics, their businesses can suffer stagnant growth or worse.

For businesses seeking investments, it is important to create an effective plan with elements of both competitive strategy and marketing planning. While it can be tempting to reduce strategy to one-page documents and budget spreadsheets, this could actually limit returns compared to the market.

A good business plan should incorporate elements of both competitive and marketing strategies to make it attractive to investors. However, many companies put too little emphasis on marketing planning or disregard it altogether, missing out on potential growth opportunities.

The BCG matrix is an effective tool for businesses because it allows them to envisage future scenarios and progress while minimizing the risks associated with stagnation. This helps organizations identify areas where they can invest and use resources effectively to maximize their chances of making major changes and undertaking digital projects that could catapult them into greater success in their sector. In other words, strategic forward-planning enabled by the BCG matrix provides firms with the best chance at maintaining a competitive edge over their rivals — something every enterprise must strive for if they wish to succeed financially.

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Thus, companies should stay up-to-date with digital investments and major changes to remain competitive. Ultimately, taking measures to understand the competition and how customers are evolving is key to achieving long-term success and staying ahead of your competition through the BCG matrix.

How do you create a BCG matrix?

Having gained an understanding of a BCG matrix and its advantages and drawbacks, let's now explore the steps to creating one.

Choose the product

Choosing the product to analyze is the primary step when creating a BCG matrix. Depending on the type of analysis being carried out, different types of products may be chosen for consideration. For instance, in an analysis of a business unit, different brands or product lines offered by that unit might be chosen instead of individual products. Alternatively, if a firm as an entire entity is under consideration for analysis, then all products marketed by that firm could be included in the BCG matrix. Additionally, if distinct product lines are identified under one brand name or umbrella company logo or trademark, those may also be suitable choices for evaluation as part of the BCG matrix.

No matter what type of product is selected to be evaluated with a BCG matrix—individual products within a particular business unit, several branded lines associated with a particular parent company, or all items sold under one company name — care should be taken to ensure an accurate reflection of their relative market performance and potential to attracts sufficient attention during the development process and beyond. The number and kind of specific items selected will have implications on how descriptive the results ultimately become; too many unique items can lead to oversaturation and skewed results due to

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statistical fluctuation, while too few can reduce granularity and provide insight into consumer preferences, which would eventually lead to inaccurate conclusions about both market performance and future opportunities for improvement. Ultimately, any choice selected should reflect both current realities in terms of consumer engagement patterns, as well as potential upsides inherent within any specific product line consumers may respond favorably toward, given appropriate marketing strategies established by key decision-makers within any organization undertaking such analyses. This means taking into account existing customer reviews from online sources — such as Amazon — including direct feedback gathered through surveys or focus groups before adding them into consideration so that only valuable information makes its way onto the analytics dashboard prior to starting your own BCG Matrix process.

Define the market

When defining the market for a BCG matrix, it is important to consider all factors that distinguish different types of products and their respective markets. For example, when analyzing Daimler's Mercedes-Benz car brand in relation to the passenger vehicle market, one must consider not only the specific type of product (i.e., cars) but also other relevant factors (such as price range or performance). This helps to identify potential submarkets within the larger consumer segment, which can be further explored and classified accordingly.

For example, in terms of the price range, one could differentiate between low-cost vehicles and high-end luxury cars — both of which would be considered part of the passenger vehicle market but may need to be analysed separately due to their significant differences in cost and features. Additionally, performance features such as fuel efficiency or driving experience should also be considered when defining a market to gain a detailed understanding of

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how each product compares and stands out.

When creating a BCG matrix, accurately (and thoroughly) defining the market is essential, since incorrect definitions can lead to misclassifications that distort an accurate portfolio assessment. Considering various aspects related to specific product types helps ensure a more comprehensive analysis, which is useful for better understanding business strategies and developing effective decision-making processes going forward.

Calculate the relative market share

This involves comparing the sales of your product to those of your leading rival's product in a given year, and can be measured either in terms of revenue or unit volume. To calculate this, take the product's sales for that particular year and divide them by the sales of its leading rivals.

Let's take the automobile industry as an example. In one year, the competitor had a 25% market share of the sector, and your company's brand stood at 10%. To calculate your relative market share, take your company's brand total sales (10%) and divide them by the competitors' total sales (25%). This gives us a result of 0.4 for our relative market share, which will be placed on the x-axis of our BCG matrix.

It is important to remember when discussing specific markets or industries with different global players that there may not be a single "leading rival." In these cases, you would use an average value from all competitors within that sector to get a more accurate representation when calculating relative market shares — rather than just focusing on one solely dominant player within an industry.

Find out the market growth rate

The market growth rate demonstrates the potential opportunities for firms to expand their market share. This

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information can be found through free online sources, such as business journals and financial reports of leading firms in the industry.

The market growth rate can also be calculated by determining the average revenue growth of the leading companies within that specific sector or market. The calculation involves subtracting the product's sales this year from the product's sales from last year, then dividing them by last year's sales to get an estimated percentage. A positive outcome usually indicates that there is a growing demand for that product, while a negative result indicates lower demand than before.

Markets with high growth are ones where the total market share available is expanding rapidly; therefore, they present good opportunities for companies to make money and develop competitively. Finding out what percentage of increments each competitor has experienced over time can provide corporations with key insights into how well competitors are doing relative to them and if any strategies need to be implemented to stay ahead in terms of customer demands or preferences.

Draw the circles on a matrix

Once you have calculated the relative market share and industry growth rate for each of your brands or products, it is time to plot them onto a matrix. The x-axis of the matrix should represent the relative market share, and the y-axis should reflect the industry growth rate.

For each product or brand, draw a circle whose size roughly corresponds to the proportion of revenue it generates — the greater a product's revenue stream, the larger its circle will be. This can either be done manually using a paper/pencil approach or, if you are using a spreadsheet program such as Excel, you could use shapes such as circles or squares and

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place them on the graph according to their values. You should make sure that when drawing these circles, they do not overlap one another so that it remains visually clear where each unit/brand/product lies on the BCG matrix.
It may also be useful to list out all your units/brands/products in order from the highest relative market share to the lowest along the bottom side of the matrix so that it's easier for viewers to quickly identify the industry leader.

Limitations of a BCG matrix

The main limitation of the BCG matrix is that it only uses two dimensions, relative market share, and market growth rate, to measure the performance of products or business units. Although these two aspects may give insight into a business's competitive standing, they are not the only indicators of profitability, popularity, or performance.

The BCG matrix does not take into consideration the potential benefits from collaboration (synergy) between brands; usually, one brand can enhance another in terms of brand recognition or general awareness, which may result in greater profits than each individual unit could generate on its own. Furthermore, businesses with a low market share can be profitable, too — even if their products do not have as large a market as those with high shares. A high cost goes into getting a high market share, which does not always lead to higher profits.

At times, dogs may help other products gain a competitive advantage by making sure competitors do not enter certain markets easily due to excess capacity in those industries, created by dogs at relatively great costs for them. In addition to this, the model does not take into account small competitors that are experiencing rapid growth in terms of their market share, which need to be taken into account when assessing an organization's portfolio performance since these players can quickly become serious contenders for

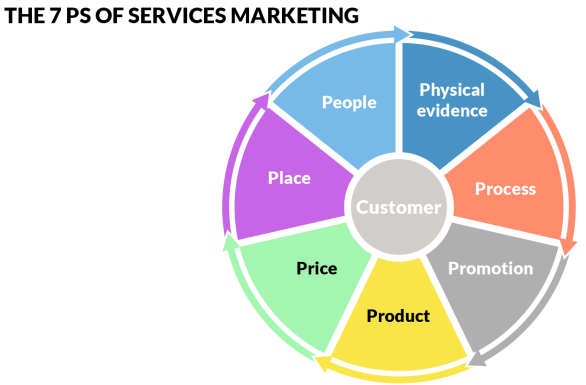
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future success and pose threats moving forward.

MARKETING MIX / 7 PS MODEL

The 7Ps marketing model is a comprehensive framework for designing and implementing a successful overall marketing strategy. It helps firms identify their key competitors, as well as recognize opportunities to create or improve their strategies. The model was originally developed in the 1960s by E. Jerome McCarthy and has since been popularized by Phillip Kotler and other marketing experts.

It consists of seven distinct Ps — product, price, place (distribution), promotion, people (staff), process, and physical evidence. Of these elements, the first four are considered "core" components of a complete marketing mix, while the latter three are often added to conduct a more thorough competitive audit. Each “P” can be broken down further into sub-categories that need to be addressed if the company is going to craft an effective strategy for selling its products or services.



The evolution from 4Ps to 7Ps

The evolution from 4Ps to 7Ps has been a reflection of

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growing consumer power and competition in every industry. Jerome McCarthy's 4Ps model was created for B2C businesses in 1960 and included product, place, price, and promotion as its four elements. Bernard H. Booms and Mary J. Bitner expanded this model in 1981 by introducing three additional Ps into the mix: people, process, and physical evidence — creating what we now know as the 7Ps marketing mix.



This expansion of the original model took consumer trends, new technologies, and customer service into account, recognizing that "product" no longer referred solely to physical goods but could also refer to services or prospects. This shift allowed for a greater focus on customer service within a marketing strategy and meant that businesses had to become much more attentive to customer needs to adequately compete in their respective industries.

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In 2021, Dave Chaffey further refined the 7P's model by applying it specifically to digital strategies, allowing companies utilizing online platforms access to modern-day tactics while still relying on an established foundation like McCarthy's original 4Ps concept.

It can be argued that despite being nearly sixty years old, it is just as relevant today within any given industry or field where marketing plays a major role as when first conceived, given its versatile nature when applied thoughtfully across businesses both big and small alike; showing its adaptability over time with regard to changing technology yet staying true to its core principles, which were established initially by McCarthy a half-century ago.

When to use it?

When to use the 7 Ps model of the marketing mix depends on individual business goals. First, it is important to note that this framework can provide valuable insight at any stage of your marketing cycle; however, it can be most efficient when used in specific circumstances.

If you are just starting and do not yet have a clearly defined value proposition, then the 7Ps can help you draft one by allowing you to analyze the competition to determine where

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they are lacking and what they offer that could become part of your unique value offering. Similarly, if an organization is revamping its strategy or introducing new elements into its current approach, then this model can help them identify opportunities to differentiate itself from competitors in a meaningful way.

In addition, using the 7Ps of the market mix during times when there is new technology or shifts in consumer trends and behaviors can also be beneficial as businesses strive to adapt quickly and establish themselves among their target audience.

If an organization wants to gain a deeper understanding of how consumers perceive and interact with their product or service offerings, then this framework provides a useful tool for managers looking for feedback based on customer engagement metrics across each element.

How to use the 7Ps model in competitive analysis

The following may be useful in the process:

Products/Services

Products/Services involve looking at the types of products and services offered by competitors. Evaluate what they are offering to consumers, how they are packaged and presented, and how they match up to your products or services. Are their products similar in scope? Are there differences that you can leverage in any way?

When assessing a competitor's offerings, it is important to compare the technical specifications of each product. Also, assess their prices and quality against your offering. Think about the market position (premium vs. discount) and overall design, as well as extra features such as after-sale support or maintenance services, warranties, etc. Additionally, you could also research customer satisfaction levels for particular

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competitors' products or services, either through a survey approach or using independent review sites such as social media platforms and forums.

Keep an eye on competitors' attendance at conferences, congresses, and trade shows to stay on top of their advancements; these events typically provide the opportunity for competitors to showcase their new technologies and innovations. Make sure you are aware if any competitors have filed patents recently so that you can stay ahead of the game when it comes to technological advances in the market.

Price/Fees

To properly analyze competitor pricing strategies and assess the competitive landscape, it is important to ask questions such as: What are the competitors charging for their products or services? Are they offering discounts, bundled offers, or packages? Do they provide any special terms of sale or financing options? Are there other fees associated with purchasing from them (e.g., shipping costs)?

It is also important to establish your pricing strategy relative to your competitors' — this is where understanding what you can offer that differentiates you from the competition becomes vital. By assessing your competitors' prices, sales terms, and packaging models side by side with your offerings, you can better understand how pricing affects market share and ensure your price points remain competitive.

Additionally, many companies use a price-setting strategy called “value-based pricing” when setting prices that reflect not just the cost of goods sold, but also their perceived value in comparison to competing providers. Understanding what customers consider valuable in each product category and how various competitors stack up against one another helps determine which areas you need to adjust to maintain a strong price-to-value ratio. Ultimately, establishing an

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appropriate pricing model allows you to maximize revenue while staying profitable and attaining sustainable market share amongst industry rivals.

Place/Access

Place (or access) in the 7Ps model is a component that considers the actual locations where potential customers can purchase products or services. It would involve analyzing both physical stores and websites at which customers can make a purchase. In competitive analysis, it is important to research where your competitor's customers can make purchases, as this may give insight into their reach and influence within the market. It could also point to ways you could potentially expand your customer access points.

For example, if your competitor has physical stores all over the world, but you only have one store in your city and an online e-commerce website, there may be an opportunity for you to increase your presence through more physical stores or more online presence. This part of the 7Ps model involves understanding where each potential customer makes a purchase from, how many intermediary steps/people are involved in the process, and whether changes can be made to improve this system or not.

When considering a physical location for a store or outlet, factors such as location and visibility are essential elements in attracting customers. Characteristics of eCommerce platforms like user experience (UX) design should be carefully considered when selling products through digital channels. It’s important that prospective buyers can easily find the item they want within the website without struggling to navigate around the platform. Considering different payment methods and offers may help lure interested individuals into completing a purchase with you rather than your competitors.

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Promotion

Promotion refers to the methods and channels used by your competitors to market their products or services. Companies use these tactics to make themselves seen, build an audience, and increase sales. When using the 7Ps model in competitive analysis, it is critical to assess how your competitors are promoting their businesses.

To start, consider what methods your competitors are using to promote themselves. Do they run paid ads on various platforms like Google Ads or Bing Ads? Are they present on social media? If so, do they actively engage with customers and post updates frequently? Do they employ SEO strategies such as keyword optimization or backlinks? Examining these tactics closely will help inform your promotional strategies for maximum impact.

You should also investigate who your competitors' target audience is. Knowing this can provide valuable insights into the messages you should be presenting about your product or service and the type of ad targeting that would have maximum success. It's also important to look at both e-commerce stores and physical stores when assessing promotion efforts, since many companies now have an online presence in addition to brick-and-mortar locations.

Analyzing key metrics such as website visits, impressions generated from ads, and social media posts can also help you determine which promotional techniques are working best for them, allowing you to benchmark against their success and adjust accordingly if needed. The same goes for wider market trends — staying up-to-date with industry news can alert you to changes that may affect your marketing strategy, so you can stay ahead of the competition effectively.

Physical Evidence

Physical evidence refers to tangible products or services that

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help signal to customers the quality of the experience. The physical evidence can range from something as simple as a store's layout, staff uniforms, and printed menus for a restaurant to product warranties or certifications for manufacturers.

For restaurants, physical evidence is all about demonstrating to customers that they will receive quality food, service, and atmosphere when dining there. This could be achieved through an attractive design layout, smart uniforms for staff members, or giving visitors high-quality printed menus with detailed descriptions of each dish on offer. These physical elements create positive associations with customers that contribute to their overall perception of the restaurant's experience. Even online reviews can act as physical evidence if they shine positively on a restaurant's offerings.

In manufacturing, product warranties are important physical evidence components that signal quality. A warranty serves as an assurance that a company stands behind its products and services; this helps demonstrate trustworthiness between customer and business, and also shows that manufacturers believe in their products enough to guarantee them against defects or mishaps of any kind. Quality certifications are another form of physically evident proof provided by manufacturers that help ensure customer satisfaction; these show that certain standards have been met with production processes, which adds extra peace of mind for potential buyers looking into purchasing goods from certain companies over others.

Processes

Processes refer to the ways a company organizes activities, operations, and processes so that it can best deliver its product or service to its customers. Examining the organizational structure, packaging of goods, distribution process, customer support, and any other processes

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associated with providing a service or product is crucial. The quality of these processes should be examined when using the 7Ps model for competitive analysis.

The quality of a company's processes will have an impact on customer satisfaction; high-quality processes ensure that customers receive their products quickly and effectively with minimal frustration or confusion about how to use them properly.

You should look into what your competitors are doing in terms of their process structures and create better systems if possible — such as automation to speed up production lines or introducing faster delivery methods like express shipping. Evaluate customer feedback closely — do they voice any issues with receiving the product? Are they dissatisfied with anything regarding the order fulfillment process? This all plays into a company's competitiveness, as customers tend to prefer businesses that offer quick and smooth transactions from start to finish.

People

People are an integral part of the 7Ps model, and their inclusion is essential for analyzing a company's competitive position. To assess customer satisfaction with competitors' customer service, it is critical to evaluate reviews from customers about their experiences and whether they had negative reviews indicating a bad experience or not.

It is also key to consider a company's or brand's reputation. How does the target demographic perceive the competitor? Are there any negative perceptions or stereotypes associated with them? It is also important to review existing customer feedback so that you can identify areas of weakness where your offering may be able to better meet customer needs and how these weaknesses could hinder competitors' ability to retain customers. Customer feedback should be analyzed

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carefully, as it can provide valuable insights into how products and services are perceived in the market.

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WHEN SHOULD YOU DO A COMPETITOR ANALYSIS?

It is important to keep track of your competitors frequently, but it is especially beneficial to do a comprehensive comparison at certain times, like the following:

A competitor analysis should be used at each stage of the business lifecycle.



STARTING A BUSINESS

When starting a business, it is important to do a competitor analysis before you proceed and launch your venture. This will provide you with an understanding of the industry that you plan to enter or disrupt. Knowing who else is entering the space as well as what big players are already established in the market can help inform decisions about strategy, product development, and marketing.

It is essential to have a full understanding of who your direct

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competitors are, the leading players in the competitive field, and any possible competitors from related industries, as investors will probably wish to know what rivals are present. This can help anticipate possible issues down the line if other businesses become more successful in your space or join in. It may be beneficial for those launching a business to conduct a "SWOT" analysis of themselves as well as their direct and indirect competition.

A competitor analysis should also include an evaluation of pricing models, including costs associated with the main features/products offered by each player, to determine where they stand on price points compared to one another. Factors such as customer loyalty could be evaluated from surveys and interviews conducted with existing customers of competing companies.

By having access to this information prior to launching your business, you can better understand who is leading the market, which allows entrepreneurs time for strategic planning when developing their own products/services for release onto the market, taking into account how this will position them against current offerings.

LAUNCHING A NEW PRODUCT OR SERVICE

When launching a new product or service, it's important to do a competitor analysis first. By understanding what your competitors are currently offering, you can create something that is uniquely different from anything else on the market. This will also help you determine how to craft effective messaging and marketing strategies around your product that differentiate it from those already available to have a competitive edge.

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In addition, tracking the success of competing products can provide insight into areas where they may be lacking that you can potentially take advantage of in order to benefit your own launch.

For example, if their product has been successful but only offers certain features and functionalities, this may allow you to expand on those areas while providing customers with additional benefits they may find more appealing than what's currently available in the market. It also allows you to gain an overall understanding of how popular similar offerings are among consumers before launching your own so that you can better prepare for any challenges ahead.

IF YOU'RE CONSIDERING A PIVOT

Competitor analysis is a critical step to consider when you're looking at making a pivot. Gathering information on competitors can provide important insights into whether the pivot is worthwhile and feasible or not. It also helps you identify potential barriers and opportunities associated with shifting your product, service, or market.

When conducting a competitor analysis for a potential pivot, it's important to consider the current state of competition in the industry as well as any potential changes that could occur when entering the new space. Consider factors such as market size, existing players, competitive strategies (including strengths/weaknesses), pricing models, customer demographics and needs, the regulatory environment, technological trends, etc., so that you can best prepare for any additional competition that may arise after pivoting.

Depending on the extent of the pivot, it may be necessary to conduct research as if you were launching a fresh business.

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It's also helpful to weigh how likely it is for new companies to enter the space post-pivot — research what other firms have done in similar markets and look out for signs such as increasing investment activity, shifting consumer behaviors, or emerging technologies impacting the entry of new entrants.

All this analysis will help you decide if now is the right time for a big transformation in your firm, and will also make you aware of any perils connected with implementing such a move. This way you'll be able to forecast future competition more accurately so that you can plan better preparedness measures (for example marketing campaigns). Also, make sure you stay abreast of changes happening in your target market so that any sudden shifts won't catch you off guard.

A STAGNATING BUSINESS

When a business is stagnating, it's important to conduct a competitor analysis to identify potential areas of opportunity. This can provide valuable insight into why your competitors may be experiencing success, or what new tactics they may be using that you're not aware of. By understanding the wider industry trends and any innovative techniques, your competitors are employing, you can adjust accordingly, allowing for an increase in market share and customer base.

By performing a competitor analysis, you can pinpoint problem areas in your own business strategy and potentially find solutions for them. A competitor analysis would reveal any unique value propositions that other businesses are offering, such as lower prices or better customer service. This information could help you adjust your own pricing structure or services so that they become more competitive and attract more customers. Doing this type of analysis can also help you develop a more effective marketing strategy by revealing

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what methods are working for your competition and what techniques need improvement to gain an advantage over them.

DROP IN ORGANIC TRAFFIC

When a website experiences a drop in organic traffic, it can be indicative of a competitor taking advantage of its SEO and keyword analysis. Regularly monitoring competitors can give you an idea of what keywords they are using for their content, or if their meta information has been changed to improve its relevance in search results. As such, this is the perfect time to do a competitor analysis, as any changes made by them may help explain the decrease in organic traffic that your website is experiencing.

If you want to stay ahead of the competition and improve your online visibility, you must understand how your competitors are optimizing for keywords, popular topics, and other aspects of SEO. Tracking organic traffic can help determine if there has been any change in ranking or relevancy due to these changes by competitors. With a competitor analysis, it's possible to narrow down what specific changes have been made so that you can better optimize and keep ahead of them all while increasing organic traffic as well.

You should begin by conducting research into which keywords relevant to your site have seen an increase or decrease in usage. You should also keep track of how those keywords are being used — which websites are coming up under searches for those terms, how often they're appearing, and whether the content listed is pertinent to yours. Also, compare backlinks between sites, as well as pay attention to things like social media activity and blog post frequency. These pieces of data will help you determine which sites

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have higher visibility than yourself with regard to specific searches and how this influences overall traffic levels.

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HOW TO DO A COMPETITIVE ANALYSIS?

DETERMINE WHO YOUR COMPETITORS ARE

Determining who your competitors are is an important first step in any competitive analysis. It helps to understand what strategies may be successful for similar businesses and ensure that the comparison data gathered is accurate. For a competitive analysis, it's key to distinguish between direct and indirect competitors.

Businesses that provide an identical product or service as yours and do so in the same geographic region are considered direct competitors. To determine who your direct competitors are, consider companies that offer a substitute for your product or service and have access to the same target audience as you. It is important not to confuse direct and indirect competitors. Indirect competitors provide products that fill the same customer need, but are vastly different from the products you produce or services you offer. For example, while two subscription-based clothing brands may serve a similar target audience, they would be considered indirect competitors if one focused on everyday outfits while the other solely sold workout attire.

It is critical to concentrate primarily on comparing metrics between businesses in your industry, as what is successful for

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one may not necessarily be the same for yours. Additionally, indirect competition should remain on your radar, since these companies could suddenly transition into being direct competitors; running routine competitive analyses will help you stay informed about any changes that occur in the market.

For a competitive analysis, use 10 or fewer competitors.



How to Select Competitors for Analysis

Customer (WHO)

When selecting competitors for analysis, it is important to consider the customer, or target customer, and companies. The “customer” in this case can be both individuals and organizations that may purchase, or are likely to purchase, the company’s product and/or service.

For individual customers, identifying key characteristics such as age bracket, gender, income bracket, or lifestyle should be taken into consideration when determining who your target customers are. Knowing who you plan on targeting will help determine which competitors should be included in the analysis. Understanding customers’ needs and wants will also help better understand their purchasing behavior.

For business customers (organizations), geographic location and industry type can be used to assess potential buyers

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within a certain demographic or company size range. Researching data on where their current customer base is located can provide insight into areas with more potential growth opportunities for the company's product or service offerings. Furthermore, researching which industries may have an interest in what your company offers will provide a better indication of who should be analyzed as possible competition.

Properly defining and understanding your target consumer base — whether they are individuals or businesses — is key when selecting competitors for analysis purposes, enabling a more precise reading of the competitive landscape.

Problem (WHAT)
When selecting competitors for analysis, it is essential to identify the core problem that a product solves for its target customers. A company should understand what problems its customers have and how the product or service can help them solve those problems.

By understanding what common customer issues your competitors are successfully solving, companies can analyze which strategies are most effective at gaining customer loyalty and creating satisfied customers.

Understanding customer needs also allows companies to create more effective products and services that differentiate from the competition by providing features or services that others don’t offer. Suppose a company is aware of the specific problems its target audience faces. In that case, it may be able to tailor existing solutions (or develop new ones) to provide a better user experience.

Product Category (HOW)
It's important to identify the specific product categories that are relevant to the solution you are providing and use them

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as criteria when selecting competitors. To identify the most relevant competitors for your analysis, consider how your offering fits within its category, and then research other companies that offer similar products or services.

An important component of product category selection is evaluating whether there is something special or unique about your offering compared to others. Do you have a specialized/unique method or technology for addressing the problems of your target market? Can you provide better features than those offered by your competitors? Asking these questions will help you determine if any unique characteristics differentiate your product from those of your rivals, which could give you an edge over them during the analysis process.

In many cases, finding different types of competitors — those with similar pillars as you and those with complementary offerings — can be beneficial when conducting competitor analysis because it allows you to gain insight into how customers may view and purchase their desired solutions. For example, understanding why customers choose one company over another based on their offering structure can provide helpful information and insights into optimizing pricing strategies, development cycles, promotional tactics, etc., among others, so they align with customer needs and wants.

Direct competitors

Direct competitors are those that provide goods or services that are similar to your own and target the same type of customers. These companies should be viewed as immediate rivals, since they can be seen as the most direct threat when it comes to market share and profitability.

For example, McDonald's is a well-known fast-food restaurant chain. Its direct competitors include other popular fast-food burger chains like Wendy's and Burger King. These three

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companies all sell similar products (hamburgers, fries, etc.) and generally target the same customer base (those looking for quick meals on the go). As such, these three restaurants can be considered direct competitors of one another because their businesses fulfill very similar needs in terms of product offerings and customer bases.

Identifying direct competitors helps you better understand what sets your business apart from the competition and how you can distinguish yourself from them to gain an edge in market share and profitability. By familiarizing yourself with these main contenders, you will have a better understanding of what strategies may help you gain an advantage over others vying for the same customers. This knowledge can then be used to create unique selling points for your product and adjust the pricing accordingly so that it stands out among competing brands within that sector.

Secondary/indirect competitors

Secondary/indirect competitors are businesses that offer different products or services than those you provide, but fall into the same general category. For example, a winery and brewery are secondary competitors due to their shared alcohol production and sale. These competitors may not be as competitive in terms of price, quality, or product offering, but they still pose a threat due to the overlap in their target customer base.

Secondary/indirect competitors can often be found competing for similar audiences by marketing their products within the same industry vertical or in similar locations. It is important to consider these indirect competitors when developing your marketing plan since they can still potentially draw customers away from your business if they offer something unique and attractive to them, such as better pricing, higher-quality product offerings, specialized customer service, etc.

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It's also important to note that these rivals don't necessarily need to already exist; new entrants into the market can compete with your business by providing innovative products or services that appeal directly or indirectly to the customers you're targeting. Staying up-to-date with industry trends and developments is key, so you know who else may potentially enter this space in the future and begin competing more directly with what you offer.

Substitute competitors

Substitute competitors are competing for products or services that exist outside a company's normal product category, but still, satisfy a similar customer need. For example, McDonald's might consider any other type of fast food restaurant an indirect competitor since they satisfy the same customer need — hunger. But it should also consider frozen meals and takeout options from grocery stores as potential replacement competitors, since these products can be used to satisfy the same need for convenience-based meals.

To identify substitute competitors, you must think more broadly about your target market. Start by looking at what else could possibly serve the same purpose as your product or service, such as alternative movie-watching services that other customers might use instead of Netflix. Talk to customers to understand what they're using when they have no access to your product or service, and use research tools like Google Trends and surveys to gain insights into popular alternative solutions in the market. Additionally, look out for new entrants offering potential substitutes with innovative features that make them attractive alternatives over existing ones.

It is important to keep in mind that while identifying substitute competitors may be difficult, understanding their presence in the market is crucial for staying competitive as a business

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and having the edge over others. Knowing who these replacement players are and keeping track of how much threat they pose can help you adjust your strategies accordingly before these alternatives become mainstream solutions.

GATHER INFORMATION ABOUT YOUR COMPETITORS

Once you have figured out who your competitors are, assess them based on the four Ps of the marketing mix: what type of product is being sold, the pricing strategy, how it is promoted, and where it is distributed.

Products

When gathering information about your competitors, you should research their products in detail. Analyze their products in comparison to your own by buying and testing them. This allows you to really understand the quality of the products and what features do or don't work well. Ask yourself if the product is well-made with good materials — are there any defects? Remember that they won't necessarily be perfect, but assessing how they measure up against yours can help you improve your offerings.

Take a look at each competitor's key features and note how they compare to yours. Ask yourself questions like: Are their features more attractive than mine? Are theirs' more user-friendly? What options do they offer that I don't have? Are these features cost-effective for your target customers? It's also important to check out customer reviews on sites like Amazon or Yelp so that you can get an understanding of what people think about the product from an impartial viewpoint.

By comparing competitors' products directly to yours, it

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should give you some insight into where their strengths lie compared to yours, allowing you to make improvements where necessary.

Pricing

Knowing what your competition prices their products and services at can help you better understand where they fit in the market, as well as give you valuable insights on what pricing strategies and discounts may be necessary for you to be competitive.

When looking at your competitor's pricing, it is important to take into account whether their prices vary for channel partners and customers. This could involve lower costs for channel partners due to larger volume purchases or discounts given out due to loyalty programs. It is also important to look into their discount policy — do they provide any bundle packages or discounts on certain items? Can they provide a greater discount upon request? Understanding the answers to these questions can help inform your pricing structure.

In addition, estimated cost structures can be helpful in understanding how that competitor operates their business model. Calculating the manufacturing cost of goods sold (COGS), and overhead expenses such as rent, utilities, employee wages, etc., all help build an overall foundation of how much profit a competitor stands to make from each sale. From there, it might also be possible to estimate a price markup percentage, which may offer even more insight into their strategy if needed.

Place

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competitors for your business, it is important to consider their geographic reach and service area compared to yours. First, you should determine if they cover the same markets as you do, or if they have a wider reach than you. Analyzing the places where your competitors offer services and products can give you valuable insight into how your product or service must measure up against theirs for you to stay competitive in each region.

For example, if a competitor of yours has a larger presence than you do within their local market and surrounding areas, it might be useful for you to analyze what makes them successful there. This could include things such as pricing, customer loyalty programs, advertising strategies, etc., that are specific only to that particular region where they successfully compete against other businesses. Understanding this information can help inform decisions regarding how best to craft your marketing strategy so that you can remain competitive in those regions, too.

Promotion

To understand how competitors are promoting their businesses, it is important to analyze the various marketing tactics they are using. One way to examine their promotions is to see what strategies they are using on social media platforms like Facebook, Twitter, Instagram, YouTube, etc.

For example, are they using sponsored ads or organic posts? Are they providing discounts or special offers for followers? It can also be beneficial to look into what content resonates with their target audience, which is also your target audience.

Pay attention to other channels such as email campaigns, television commercials, print ads, and radio spots. It's also important to check out the quality of the messages being sent: Is the messaging clear and consistent across different channels? What tone do they use when communicating with

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customers? By taking all these elements into account, you can get a better understanding of how your competitors' approach promotion and what marketing strategies may be more effective for engaging customers.

The idea of the four Ps has developed over time, so considering additional elements is necessary. These can include:

Positioning

Positioning is an essential part of understanding how your competitors are differentiating themselves and targeting their markets. To gain insight into this, analyze the websites, product documents, brochures, and catalogs of your competitors, as well as their social media content, to understand their position in the market. Here, you should be able to pick out who their target markets are — such as by age or occupation — as well as what kind of unique selling proposition they have.

What products do they focus on compared to yours? What features make it stand out from other offerings? What are the benefits that customers receive for investing in the product? Who does your competitor use for marketing channels (websites, ads, magazines, etc.) and why? All these questions will inform you not only about how your competitor is positioning itself, but also give insight into potential strategies that could work for you, too. Also, consider how prices compare between yourself and them as well — do they offer lower prices or higher quality with a premium price tag? Understanding these details will allow you to develop effective pricing strategies that set you apart from competitors in terms of value proposition positioning.

Reputation

When researching your competitors, it is important to take into account their reputation and what people are saying

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about them online. What feedback is being shared about your competitors' products and services on online discussion boards, social networking sites, and review websites such as TripAdvisor? It’s important to use these platforms to get an idea of how people perceive your competitors' products, services, and overall brand. Reviews from customers will give you an insight into the reputation of your competitors in comparison to that of your own business.

Analyzing reviews can give you a feel for how competitive you are within the industry. Are customers providing more positive feedback towards one company compared to another? Is there a certain service or product that consistently receives higher ratings than yours? This information can help inform decisions about improving marketing approaches, as well as identify areas for improvement in terms of customer satisfaction. Additionally, it is beneficial to identify areas where reviews contradict each other; doing so can alert you to potential weaknesses in the market where there may be an opportunity for growth or expansion.

Studying competitor profiles on different social media sites such as Facebook, Twitter, or Instagram can also offer further valuable insight into their reputation. You should take note of engagement rates (likes/shares) with posts regarding their business or particular products and services they offer. Public relations/branding initiatives through these channels are also worth considering as part of this research process — this will provide key details such as what kind of message they want consumers to receive, and which values they prioritize most highly when promoting their business.

People

The size of the competitor’s organization is an essential point of comparison; larger organizations tend to have more

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resources and more diverse capabilities, while smaller organizations may be more agile when it comes to decision-making and operations. It can also give insight into how fast they can innovate and scale operations as market conditions change.

To understand what kind of profile the competitor has, you should look at their leadership team and management structure, organizational culture, internal policies, diversity initiatives, and recruiting processes. From these sources, you will be able to build up an idea of the competencies that the company values — whether they focus on technical prowess or creative problem-solving, for instance — as well as the skill sets that might be needed to effectively navigate its organizational structure.

You can also get insight into whether there are any areas where they lack expertise or need outside assistance from vendors or consultants; this could indicate opportunities for your own business if you specialize in those areas or have developed unique solutions for similar challenges that others don't offer.

Partnerships
Knowing who a competitor is partnering with can provide valuable information on their market position and network.

In terms of understanding who a competitor's suppliers are, this may involve reaching out directly to those suppliers or researching publicly available information such as press releases and filings. This step lets you understand who they partner with and who provides services or products for them. With this knowledge, you can assess the size and scope of the services/products being supplied and how that impacts your competitor's operations and offerings.

It can also be useful in assessing how long a competitor has

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been working with its suppliers — which could range from short-term projects to long-term agreements — by looking at press releases announcing the agreement and any follow-up news regarding annual contracts, updates, or changes over time. If a competitor has had consistent relationships with certain suppliers over an extended period of time, it could indicate trust between both parties, stability in pricing (which could strengthen their competitive edge), and a healthy supplier ecosystem that allows them to keep prices low while still delivering quality goods/services on time.

RESEARCH YOUR COMPETITORS' SALES TACTICS AND RESULTS

Researching your competitors' sales tactics and results involves digging deep into their past and present strategies. First, ask yourself what the current sales process looks like. Who are they selling to? What channels are they using to sell through? Are they expanding or scaling down? Do they offer affiliate programs? You can use the annual reports of publicly owned companies to find out about their sales tactics.

Privately owned businesses may not have this information easily accessible, so you'll need to do some research. Look into customer relationship management (CRM) data as a possible source of information from customers who have considered buying from your competitor. Generate a report displaying any potential deals involving a competing business. If you don't have this data recorded already, communicate with marketing and sales to initiate a process where potential buyers are asked about any other companies they're considering for purchase during the buying process. Once these questions have been answered, investigate further by looking at why buyers chose one product over another or why customers ended relationships with that

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company. Reach out to those who mentioned considering your competitor's product or service, and ask open-ended questions related to why they chose one company over another or why they ended services with them in the first place. This will give you insight into what attracts customers and what might be turning people away from yours specifically (such as price points or how involved their sales team is). Additionally, pay close attention to any unique offers that may draw prospects away from you, such as special discounts, competitive pricing strategies, promotional campaigns, etc.

If there has been an instance where you lost a deal, follow up after the fact by asking questions such as: 'What services or features attracted this prospect?' 'Was it price?' 'What impression did our sales process leave on them?' Doing this kind of research on competitors' sale tactics will ultimately give you an idea of how competitive the market is for your own business and arm you with enough knowledge so that when it comes time for prospects to make their final buy decision, your marketing team can counter effectively against other brands on the market.

By getting feedback directly from buyers — both current customers and those who decided against doing business with you — your team can develop better strategies designed specifically around addressing customer objections while still highlighting what makes your product/service stand apart from competing offerings.

ENSURE YOU'RE MEETING COMPETITIVE SHIPPING COSTS

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Analyzing competitors' shipping costs is an essential step for any company in the e-commerce industry. Knowing what your competitors are offering and staying competitive with your prices can be a deciding factor when customers choose who to buy from.

More than 68% of shopping carts are abandoned prior to purchase, with the most common reason being expensive shipping. To avoid this, you'll want to make sure your brand offers reasonable shipping prices — or better yet, free shipping — as per what other brands in the same industry are doing.

If free shipping isn't possible for you, then consider other means of remaining competitive — such as discounts on holidays or special occasions, loyalty programs, and social media giveaways. Doing so will keep customers engaged and draw them back to shop with you again in the future. It's also important to note that free shipping may not always mean totally free — some companies offer free delivery if customers meet certain conditions, such as reaching a minimum purchase amount or buying within a specific period. This could be something worth considering if you want to offer something similar but need some way to gain back some of the costs associated with delivering orders for free.

Analyze the landscape carefully before making any decisions about changing up current practices to remain competitive without breaking the bank!

ANALYZE HOW YOUR COMPETITORS MARKET THEIR PRODUCTS

Analyzing a competitor's website is the quickest way to get an idea of their marketing efforts. Looking at relevant website

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sections can help you identify the tactics they are using to reach potential customers.

On the company website, take note of any blog posts or articles that have been published. You should also look to see if your competitor has published white papers, e-books, videos, or webinars that discuss their products or services in-depth. Podcasts, static visual content such as infographics and cartoons, slide decks, FAQ sections, and featured articles can all be indicators of marketing campaigns. It is also important to check whether there are press releases present on their site, as they can reveal information regarding any upcoming product launches or major changes within their company. Lastly, take a look at buying guides, data sheets, and case studies, which could provide insight into how successful certain strategies were for them.

In addition to web pages and content pieces, try taking an inventory of both online and offline advertising materials used by your competition (e.g., banner ads or print brochures). Knowing what campaigns they've previously run will provide insight into what channels work best for this particular market, allowing you to adjust your strategy accordingly!

TAKE NOTE OF YOUR COMPETITION'S CONTENT STRATEGY

Start by assessing the quantity and frequency of the items

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they're producing. Look at how many pieces they have currently published, such as blog posts, white papers, e-books, case studies, etc. Then, take the time to determine how often these assets are released — do they post something new every week or once per month? If there is a sizable backlog of content, it could mean that your competitor has been consistently publishing for some time.

Next, evaluate the quality of their content. It won't matter how often something is posted if it isn't providing any valuable information. Choose several pieces from various topics so that you can get a full view of what topics your competitor may be trying to promote and generate leads from. As you go through each piece, ponder questions such as: Is it accurate? Are grammar or spelling errors present? How comprehensive is it? What tone does it convey? Does it have elements that make for easy reading, like bold headings and numbered lists? Can anyone read their articles, or do readers need to opt in first? Who wrote them — an in-house team, one person/multiple contributors with visible bios attached to them?

Finally, assess the photos and imagery used by this business in comparison to yours; consider things like if they rely on generic stock photos or use custom illustrations/images sourced from outside graphic professionals (or even done in-house). By considering all these elements, you should gain insight into whether their current content marketing strategy is successful and ways you can incorporate similar practices (and perhaps even improved ones) into your business model to stay competitive.

LEARN WHAT TECHNOLOGY STACK YOUR COMPETITORS USE

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Learning what types of technology your competitors use is essential to helping your company stay competitive. Knowing the types of software they use can provide insight into how they operate and where there may be potential opportunities to outperform them.

One way to gain this information is by using a free online tool called Wappalyzer, which provides an overview of the technologies and third-party plugins that make up different businesses' websites. Simply type in a business's website URL into Wappalyzer, and it will reveal all the technology platforms and services their site runs on — such as analytics systems or digital marketing tools. This way, you can learn what kinds of software and techniques your competition is using so that you can compete effectively with them.

You can learn about your competitor's technology by observing the requirements of web development or engineering job listings from their organization. Companies often list the specific skills or knowledge required for the position, which includes knowledge of certain tools or applications related to those roles. By seeing which technologies employees at competitors are expected to know, you can get an idea of which software tips they may be relying on more heavily than others.

ANALYZE THE LEVEL OF ENGAGEMENT ON YOUR COMPETITORS' CONTENT

To accurately assess the level of engagement on your competitor's content, consider several factors. These include the average number of comments, shares, and likes; the

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sentiment expressed in comments; topics that resonate better than others; and how frequently readers are tweeting about specific topics. Additionally, you should review if their content is categorized with tags or buttons to follow or share via social media.

For example, if a competitor has many comments, but most of them are negative, this could suggest a low level of engagement. On the other hand, if they have fewer comments but mostly positive ones, then it may indicate higher levels of engagement overall. Similarly, if people are consistently tweeting about certain topics, then this shows a high level of interest from potential customers in those areas.

LOOK AT THEIR SOCIAL MEDIA PRESENCE, STRATEGIES, AND GO-TO PLATFORMS

To evaluate your competitors' social media presence, start by identifying the social media platforms they use. Visit each of these platforms and take note of their followership, posting frequency, content engagement, and virality (number of shares, likes, and comments). Analyze the type of content they post — is it mostly original content, or do they share curated sources? What is the overall tone of this content? Also, pay attention to how often they interact with their followers — do they respond to comments and questions?

Next, grade the quality of your competitor's overall social media strategy using a grading scale. Compare this score against that of other competitors to identify strengths and weaknesses in your approach. By paying close attention to what strategies work for your competition, you can apply

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those same tactics for more successful campaigns.

PERFORM A SWOT ANALYSIS

A SWOT analysis is a simple and effective way to assess the competitive strategies of your competitors and your own business. By performing one, you can identify what areas your competitor excels in, as well as where they may have weaknesses that can be exploited. You can also use it to identify any opportunities or threats associated with their activities that could potentially affect your own business.

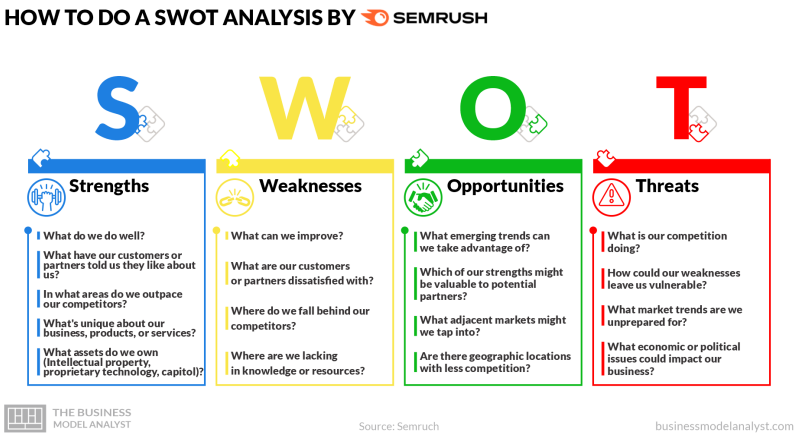
When performing a SWOT analysis on competitors, it is important to consider both their internal strengths and weaknesses (such as resources available and prices offered) as well as external factors, such as industry trends and customer preferences.

As you evaluate each component of their competitive strategy (business model, sales approach, marketing campaigns), take note of how their performance ranks compared to yours in these categories. Ask yourself questions such as “What is my competitor doing well? What advantages do they have over my brand? In what areas are they lacking? How does my brand compare?” This will allow you to see how well-positioned they are relative to your business capabilities, so you can start to form an idea of where either party has the upper hand or needs improvement.

Once you have identified the relevant metrics within each category (products/services offered; pricing and promotion; customer service; content and social media strategy, etc.), list out those findings in a document for easy comparison between yourself and rivals:

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Comparing these lists with those attributes in your own business can provide valuable insights into areas requiring more focus or reconsideration, allowing for more strategically informed decisions about how best to develop products/services, refine pricing models, or establish better relationships with customers than other players who may offer similar offerings.



DETERMINE YOUR COMPETITIVE ADVANTAGE

Determining your competitive advantage is a vital step in conducting a competitive analysis. Your competitive advantage is the distinctiveness of your company — it's what sets you apart from other companies in the same space. It's the edge that allows you to appeal to your target market and gain an edge over competitors. To identify your competitive advantage, look at both your strengths and weaknesses

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relative to the competition. Analyze where you stand out, as well as areas where there is room for improvement or opportunities to fill a gap in the market.

For example, suppose you notice that your competitors are all significantly higher priced than you. In that case, you could use this as a weakness to emphasize how customers can get better value for money with your products or services. Conversely, if there's something that makes yours more distinctive or better than similar offerings from competitors, such as superior customer service or innovative features, this provides an opportunity to build a brand identity around those strengths while giving customers something they won't find anywhere else.

Once identified, use this knowledge to inform and influence strategic decisions moving forward. Build campaigns emphasizing those unique points on which the business stands out, and create initiatives that capitalize on any weaknesses found within competitor businesses during research. However, be sure not to rely too heavily on external stimuli; instead, strive for consistent improvement across all aspects of the business, independent of outside competition.

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WHAT TO DO AFTER COMPLETING A COMPETITIVE ANALYSIS

Now that your competitive analysis is ready, it's time to move on to the next step: implementing your strategy. Take some of the ideas you've come up with and start working on them individually. Don't try and emulate all of your competitors at once — focus instead on a few strong points from each competitor you analyzed. And, most importantly, don't forget to constantly measure how well you're doing against your chosen goals. Companies often get so caught up in their own plans that they forget to compare how their results stand relative to their competition. Make sure yours is always ahead of the pack.

Completing a competitive analysis helps give businesses a better understanding of their market landscape and position among competitors — both current and potential ones. It provides invaluable insights which can be used creatively in order to come up with unique strategies that can help set your business or product apart from others in its industry.

Using tools such as the Strategy Canvas allows teams to break down competitors by various factors such as pricing, service offerings, and features — giving added clarity into where opportunities exist for differentiation or innovation within existing markets or new markets altogether. Making use of sound business methodologies like Blue Ocean

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Strategy will ensure companies are well-positioned for success when competing against other players in their industry — using research-based evidence and insights instead of rolling the dice through trial and error alone.

Last but not least, it's important not to forget about measuring results against competitors over time — making sure your products remain ahead or at least comparable in terms of value proposition over time.

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COMPETITIVE PRODUCT ANALYSIS

Product analysis is used to reveal the key distinguishing factors between products that are vying for the same customer base. Conducting this kind of comparison between competitors can help you identify areas where you may be losing potential customers, and make sure that you stay ahead in your respective market.

ASSESS YOUR CURRENT PRODUCT PRICING

Assessing your current product pricing is a key step in the competitive product analysis process. It's important to answer questions such as: Are your competitors' products priced higher or lower than yours? Is there a difference in the pricing metrics employed by you and them (e.g., per unit, monthly/yearly subscription)? What is the difference in price between you and your competitors?

To start off, it is recommended that you gather all relevant data about competitor prices first, to understand how they are positioning their products. This data should include the price that each direct competitor charges for similar products and services. After collecting this information, it will be easier to compare different metrics in terms of value for money and other factors like price elasticity among consumers — based on who offers better quality for a smaller price with similar

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features offered, etc.

It is also important to note whether your competitors have adopted certain strategies when it comes to setting up their prices; this includes strategies such as premium pricing (high initial cost but low operating costs) or value-based pricing (pricing according to the customer's perceived value). By understanding this aspect of the market's behavior along with the actual prices charged by them, you can make an informed decision about how much your own product should be priced at.

COMPARE KEY FEATURES

This involves analyzing the features of your product and determining how they are different from your competitors. It is important to note the similarities and differences between both products in terms of features, usability, quality, and other areas. This will help you gain insight into how your product stands out compared to your competitors' offerings.

When comparing key features, consider the range of products each company offers and how each feature affects the overall customer experience. Evaluate how well each feature stacks up against its competitor in terms of cost, usability/functionality, design/aesthetics, customer service support offered, and any other distinguishing factors you may find relevant to customer satisfaction.

Ask yourself: What makes my product better than that of my competitors? Can I provide evidence to back up this claim? Does my company have any distinct advantages that could incentivize customers to choose me over the competition? These questions will give you a better understanding of which specific differentiators will position your product ahead of others in the market.

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PINPOINT DIFFERENTIATORS

Differentiators here are features that your product offers that make it stand out from the competition, allowing you to emphasize its unique selling points. It's important to identify what makes your product different and better than the competition by looking at a variety of criteria. For instance, you may want to consider which features set your product apart from competitors, such as more advanced performance or improved usability.

Quality differences can also be a key differentiator; for example, if your competing products are manufactured using cheaper materials with lower durability ratings, yours may have greater longevity and be seen as the stronger option. You should also compare the customer service experiences available. Are there any incentives you offer that could sway customers away from competitors? Cost savings might come in the form of complimentary delivery or special discounts on already discounted items.

Differentiators could also include things like having an app or providing extra support options such as live chat or 24/7 access to customer advisors via phone. Ultimately, understanding what makes your product stand out will help you focus on those key factors when marketing your offering and create a compelling message that resonates with consumers.

IDENTIFY MARKET GAPS

This means understanding what customer needs are unfulfilled and how your company can use those gaps to get ahead of its competitors. Market gaps can be identified by analyzing competitor offerings, customer reviews, industry data, and customer feedback.

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When looking for market gaps, it's important to analyze what features or services are missing from existing products or services that could improve the customer experience or fill a need that has not currently been met. You can also observe how competitors interact with their consumers — this will provide valuable insight into opportunities for improvement in order to differentiate your offering from theirs and secure more customers.

A market gap analysis should also include discovering emerging trends within the industry as well as monitoring current customer behaviors such as preferences, purchasing habits, etc., so you can stay ahead of growing expectations. Being aware of any emerging technology or innovative tactics used by competitors should also be considered when searching for potential opportunities to leverage your own offerings.

By using all these methods together when performing a competitive product analysis, you will have a better understanding of where you stand in comparison with other rivals and a crystal-clear idea of which areas need improvement within your organization's capabilities to remain successful.

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TIPS FOR WRITING A BETTER ANALYSIS

Below are a few suggestions to help you craft a more polished and professional analysis:

USE A TEMPLATE FOR PROFESSIONALISM AND ORGANIZATION

Templates are helpful for novice analysis writers, giving them an organized structure and format for creating a polished competitive analysis. Templates provide guidance on how to best organize the information while also helping maintain consistent formatting, such as fonts, page setup, spacing, and alignment.

The template can help save time because it already contains basic instructions that often need to be included in each analysis section. Often these templates are customized specifically for certain types of analyses, like a financial or market analysis, which can be very beneficial for those just starting out who may not be familiar with what should be included in each category. Using a writing template also helps produce high-quality documents that look more organized and professional than ones that are put together without any guidance from a template.

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IMPLEMENT VISUAL AIDS

Implementing visual aids into your analysis is an effective way to increase the visibility and impact of your key points. Visual aids can include anything from graphs and charts to infographics and illustrations. This allows readers to have a better understanding of the data or information being presented in the analysis more efficiently than just text alone. For example, if you are looking at trends within a certain market, by utilizing graphs, you help display information by showing high-level trends rather than looking exclusively at numbers that are not as easy to process.

Implementing visuals along with an explanation or analysis can help support any findings or conclusions that you make in your competitive analysis. It also provides a break for the reader's eyes between long blocks of text, which makes viewing the document easier on their end as well. The visuals should be kept simple and relevant to what you are discussing, so as not to overwhelm readers with complex graphics that add little value but will detract from your message.

PROOFREAD YOUR COMPETITIVE ANALYSIS

Proofreading your competitive analysis is an integral part of the process. By reading through the analysis thoroughly after completion, you can identify any mistakes and make corrections accordingly. This may include correcting spelling errors, improving sentence structure, rephrasing key points to be more concise or effective, fact-checking important claims and statistics, ensuring visual aids are properly formatted with clear labels and descriptions as appropriate, as well as

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checking to make sure all sources used have been attributed correctly.

A thorough proofreading will help to ensure that your competitive analysis is presented in a polished manner, which reflects an attention to detail and helps you achieve credibility when presenting it to stakeholders.

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CONCLUSION

Competitive analysis strategies are essential for any business's success. A thorough analysis of the competition allows businesses to understand their place in the market and identify areas where they can improve. It should never become a copycat game, as the goal is to use what businesses are doing as an example of how to create something even better than what is currently being offered.

Equally important is understanding what customers want and need, which can be achieved through competitor analysis. By providing better services than competitors, businesses will be better positioned to increase customer loyalty and gain a competitive advantage. Ultimately, successful competitive analysis strategies allow businesses to anticipate the needs of their customers and gain a clear understanding of their competitors — ensuring they stay ahead of the competition and remain profitable.

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